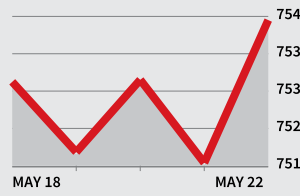


SENSEX 75415.35 (+177.36)



IN FOCUS

	Week's close	Week's change
Nifty 50	23719.30	+75.80
P/E Ratio (Sensex)	20.35	-0.01
US Dollar (in ₹)	95.69	-0.27
Gold Std 10 gm (in ₹)	157484.00	-93
Silver 1 kg (in ₹)	266000.00	-2500



CURRENT ACCOUNT.

Bank of Maharashtra chief Saxena plots an outreach at pin code level to cross the ₹10-lakh-crore mark by 2029 **p9**

SPARK.

Armed with more satellites, Indian start-ups cater to a growing demand for earth observation services **p8**

PMO tells Ministries to find ways to curb fuel use, conserve forex

TACKLING IMPORT BILL. Among steps being discussed is GST cut on flex-fuel vehicles

S Ronendra Singh
New Delhi

Amid concerns within the government over a widening current account deficit (CAD) and rising pressure on India's oil import bill due to the West Asia crisis, the Prime Minister's Office (PMO) has asked four key Ministries to urgently draw up measures to cut dependence on imported fuel and conserve foreign exchange, sources told *businessline*.

Among the proposals under discussion is a reduction in goods and services tax (GST) on flex-fuel vehicles, currently taxed at 18-40 per cent depending on the segment, closer to the 5 per cent rate applicable to electric vehicles, a long-pending demand of the auto industry.

The PMO has asked the Ministries of Road Transport and Highways, Petroleum and Natural Gas, Power and Heavy Industries to submit recommendations that can help reduce crude oil consumption in the near term, a senior official said.

"The PMO has asked these Ministries to send sug-

COST-SAVING MEASURES

- The Ministries of Road Transport and Highways, Petroleum and Natural Gas, Power and Heavy Industries were asked to submit recommendations that can help reduce crude oil consumption
- The government is also examining greater adoption of smaller and entry-level vehicles
- The auto industry has been seeking lower GST on flex-fuel vehicles



gestions with 'anything and everything' that can reduce India's dependence on crude oil imports. The maximum we could reduce at the earliest will be good for the country," an official privy to the discussions told *businessline*.

URGENT MEASURES

Officials said the understanding is that urgent interim measures need to be adopted to curb fuel consumption because stricter fuel-efficiency norms under CAFE-3 come into force only next year — April 2027.

"There could be many suggestions now regarding this subject. One could be to

promote usage of electric vehicles (EVs) more, and make flex-fuel vehicles more affordable. That can happen if GST is reduced for such vehicles, just like for EVs," another senior official said. The auto industry has been seeking lower GST on flex-fuel vehicles to improve affordability and accelerate adoption. They attract a 28 per cent GST alongside a compensation cess (up to 15 per cent for larger vehicles), resulting in an effective tax burden ranging from 18 per cent to over 40 per cent.

Sources said suggestions are also being driven around entry-level cars in the ICE segment because they con-

sume less fuel and give better mileage too. Officials indicated that the issue could come up for discussion ahead of the next GST Council meeting.

SMALLER VEHICLES

Sources said the government is also examining whether greater adoption of smaller and entry-level vehicles, which offer higher mileage, could help moderate fuel consumption.

"We are exploring all possibilities, including whether small cars, hybrid cars, electric cars or flex-fuel vehicles, anything that reduces cost of acquisition for a customer and also for the nation on reducing oil imports," one of the officials said.

Road Transport and Highways Minister Nitin Gadkari on Saturday said flex-fuel vehicles would soon be introduced on a large scale and announced that Maruti Suzuki would launch a 100 per cent ethanol-powered vehicle on World Environment Day on June 5.

He added that 12 companies, including Toyota, Tata Motors, M&M and Suzuki, have already introduced flex-fuel vehicles in India.

US has emerged as strong energy partner: Jaishankar

Amiti Sen
New Delhi

In a strong signal that India will maintain its energy sovereignty, External Affairs Minister S Jaishankar said that while the US, along with some other nations, has emerged as a reliable energy partner, India will continue to source energy from multiple suppliers to navigate current vulnerabilities in the Strait of Hormuz and secure its future needs.

Speaking at a joint media briefing on Sunday, US Secretary of State Marco Rubio said the US and India are likely to conclude a bilateral trade agreement that will be enduring and mutually beneficial, and the US Trade Representative is expected to visit India soon to advance the negotiations.

"This is an era of de-risking, and probably energy more than anything else requires de-risking. So, a big country, if you are to do de-risking, looks at multiple sourcing and for us, the US has emerged as a very significant and reliable source of energy, as indeed have some other countries. The way we will deal with the current situation in Hormuz and frankly, going forward as well, is to diversify our energy sources... It is important to keep energy



US Secretary of State Marco Rubio with External Affairs Minister S Jaishankar **REUTERS**

prices down for global growth," Jaishankar said. His comments are important in the context of the pressure being put by the US on India since last year to stop its oil purchases from Russia on the ground that it helped 'fuel' Russia's war against Ukraine.

WAR IMPACT

Rubio and Jaishankar discussed the economic repercussions of the West Asia crisis triggered by the US and Israel's war with Iran as well as a range of bilateral issues including trade, energy security, defence cooperation, critical mineral supplies, civil nuclear partnership, and visa processing challenges for Indian travellers.

The US Secretary of State, on a four-day visit to India, also held discussions with Prime Minister on Saturday and is set to attend the Quad Foreign Ministers' meeting on Tuesday.

Also read p2

Heatwave pushes up sales of ice cream, beverages, ACs

Meenakshi Verma Ambwani
New Delhi

As a searing heatwave grips large parts of the country, makers of ice cream, air-conditioners and beverages are witnessing a sharp rebound in demand, fuelling hopes of a stronger-than-expected summer season after an initially sluggish start caused by unseasonal rains and cooler temperatures.

Companies across categories said consumption trends have accelerated in May, with quick commerce emerging as a major driver for immediate consumption purchases.

Read more p10

CAFE III, ADAS norms to drive growth for auto-parts makers

Amit Vijay Mohile
Mumbai

India's tightening of fuel-efficiency and safety regulations is emerging as the next major growth driver for auto-component makers, with companies such as Bosch expecting a sharp rise in electronics, software and emission-control

systems per vehicle as auto-makers prepare for CAFE III and mandatory advanced driver-assistance systems norms. Bosch Ltd MD Guru Prasad Mudlapur said the company is positioning itself ahead of major regulatory shifts including CAFE phase III norms and ADAS for commercial vehicles.

Also read p2

States see up to 58% increase in sales tax revenue during April

Shishir Sinha
New Delhi

Even as the Centre said it has taken a ₹30,000-crore revenue hit in FY26 by way of excise duty cuts on fuel, States have continued to see growth in collections from sales tax/

VAT on petro products, with most of them refraining from lowering local levies. Barring Kerala, States have recorded a growth of up to 58 per cent in mop-up under "sales tax/taxes on sales, trade etc" in April, per CAG data.

Read more p3

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QUICKLY.

DMK slams Shivakumar on Mekedatu Dam issue

Chennai: The DMK on Sunday lashed out at Karnataka Deputy Chief Minister DK Shivakumar over the Mekedatu dam issue, alleging he displayed “arrogant attitude” by claiming Tamil Nadu had no right to raise objection over the project on the Cauvery. As per the Supreme Court order, no construction activity could be done at Mekedatu without the prior permission of the lower riparian states, senior DMK leader KN Nehru said. ANI

Anupam Rasayan to buy 74.2% in Bliss GVS Pharma

Mumbai: Surat-based Anupam Rasayan India Ltd said it was acquiring upto 74.2 per cent in Bliss GVS Pharma Ltd, a Mumbai-based formulations company. A provider of custom synthesis and specialty chemicals Anupam Rasayan said in a statement it was picking up 43.3-48.2 per cent equity stake, followed by an open offer to the public shareholders of Bliss GVS Pharma Ltd, at a reported ₹1,360-plus crore. OUR BUREAU

Rubio reminds India of intent to buy US goods worth \$500 b

NULL & VOID. But with US SC declaring reciprocal tariffs illegal, deal irrelevant: Experts

Amiti Sen
New Delhi

US Secretary of State Marco Rubio on Sunday gave a fresh reminder of India’s commitment to purchasing \$500 billion of US goods over the next five years by posting a thank you message to American diplomats who facilitated this pledge. But some experts argue that since the reciprocal tariff framework had collapsed after an unfavourable US SC verdict, the economic logic of the India-US bilateral trade agreement (BTA) itself disappeared, and hence the question of the \$500 billion purchase commitment was rendered irrelevant. “The Indian government must clarify its position on Rubio’s tweet. Large-scale imports of US energy, defence equipment, aircraft and agricultural products could further widen India’s trade deficit and intensify



BILATERAL TALKS. US Secretary of State Marco Rubio and External Affairs Minister S Jaishankar at Hyderabad House, in New Delhi ANI

pressure on the rupee,” said Ajay Srivastava from research body GTRI. Rubio, who is on a four-day official visit to India, discussed prioritising the BTA negotiations in his meetings with Prime Minister Narendra Modi on Saturday and Foreign Minister S Jaishankar on Sunday. “Huge thanks to @USAmbIndia Sergio Gor and our American diplomats for their efforts.

Because of their great work, India has committed to purchasing \$500 billion in US goods over the next five years focusing on energy, technology, and agriculture,” Rubio posted on ‘X’ on Sunday.

NOT FORMALISED India’s pledge to buy \$500 billion worth of goods from the US over five years was part of the framework in-

terim trade agreement which was not formalised. “The entire foundation of that bargain (framework deal) collapsed on February 20, 2026, when the Supreme Court of the US ruled that the legal basis for the Trump administration’s reciprocal tariffs was invalid. The ruling effectively dismantled the tariff-based framework around which the new generation of US trade deals had been negotiated,” Srivastava said. Every country, whether it negotiated a deal with Washington or not, now faces the same additional 10 per cent tariff for entry into the US market, on top of normal MFN tariffs, Srivastava explained. That erased the advantage countries expected to receive in exchange for offering major concessions to the US. The matter has become even more sensitive for India because of the mounting pressure on the external sector and the rupee, he added.

CAFE III, ADAS norms will drive growth for auto-parts makers

Amit Vijay Mohile
Mumbai



India’s tightening fuel-efficiency and safety regulations are emerging as the next major growth driver for auto-component makers, with companies such as Bosch expecting a sharp rise in electronics, software and emission-control systems per vehicle as automakers prepare for CAFE III and mandatory ADAS norms. Bosch Ltd, Managing Director, Guru Prasad Mudlapur, said the company is positioning itself ahead of major regulatory shifts including CAFE Phase III fuel-efficiency norms, mandatory advanced driver-assistance systems (ADAS) for commercial vehicles and the eventual transition toward stricter BS7 emission standards. “Regulation is clearly moving in one direction — towards safer, cleaner and more efficient mobility,” Mudlapur said on an analysts’ call. “Our approach is to prepare ahead of time and support customers through

that transition.”CAFE Phase III norms, expected to take effect from April 2027, will require automakers to significantly improve fleet-wide fuel efficiency and lower emissions, forcing the industry to adopt more advanced powertrain technologies, electronics, lightweight materials and hybrid systems. **TIGHTER NORMS** For suppliers, the key metric is “content per vehicle” — industry shorthand for the value of components and systems supplied in each automobile. “In a market where volumes may remain flat in the near term, content per

vehicle becomes the primary growth lever,” Mudlapur noted. Schaeffler India is also expected to benefit from trends such as engine downsizing and transmission-efficiency upgrades triggered by tighter norms. The company has been expanding its portfolio of advanced valvetrain systems, electronic clutch management and hybrid transmission technologies aimed at improving efficiency while lowering emissions. Suppliers such as Sona Comstar stand to gain from the increasing shift toward electrified powertrains, which carry significantly higher component value compared with conventional internal combustion engine systems. ADAS features such as collision warnings, lane-departure assistance and automatic emergency braking remain at a relatively early stage in India’s commercial vehicle market, creating a large opportunity for suppliers involved in radar systems, cameras, sensors and electronic safety architecture.

Ebola screening at AP, Chennai airports

Our Bureaus
Hyderabad/Chennai

Andhra Pradesh Government is on high alert on Ebola virus and will be screening travellers coming from affected countries including Congo, Uganda and Sudan in the three international airports in the State. The government is ensuring coordination of the State Health Department with Airports Authority of India for conducting medical tests based on the travel history of the passengers in Vijay-

awada, Visakhapatnam and Tirupati international airports, State Health Minister Satyakumar Yadav said in Amaravati on Sunday. The Government has already arranged isolation wards in the teaching hospitals of the three cities with international airports and kept testing kits and medicines for treatment ready, the Minister said. Visakhapatnam Port authorities were also put on alert and steps were being taken to monitor international travellers from the affected countries who would

reach the State by road, Yadav said. **SCREENING IN TN** According to Chennai airport sources, automated thermal cameras have been installed at International Terminal 2 (T2) to screen arriving international passengers for elevated body temperature. A health desk has also been established near the immigration area at the arrival level of T2 to monitor and assist passengers. Chennai airport authorities said no Ebola case has been reported so far.

MoD likely to issue request for proposal for Advanced Medium Combat Aircraft by month-end

Our Bureau
New Delhi

The Ministry of Defence (MoD) is likely to issue Request for Proposal (RFP) to one of the three shortlisted private sector consortia towards the end of this month, having completed legal and other scrutiny to roll out the process of manufacturing five fifth generation Advanced Medium Combat

Aircraft (AMCA). Sources stated that the Aeronautical Development Agency (ADA) — the nodal DRDO lab responsible for designing and mentoring the AMCA project — has nearly completed its evaluation of the proposals submitted by the three shortlisted consortia: Tata Advanced Systems Ltd (TASL), competing independently; a consortium led by Larsen & Toubro (L&T), State-owned Bharat Elec-

tronics Ltd (BEL), and Dynanamic Technologies Ltd ; and a tripartite consortium of Bharat Forge, BEML, and Data Patterns. **SHORTLISTED ENTRIES** In February, the MoD had zeroed in on the final three entries to select the fifth generation fighter aircraft development partner after evaluating seven technical bids. The core integration and

advanced flight testing centre of the ₹15,000 crore AMCA project is coming up on a 650-acre facility at Puttaparthi, Andhra Pradesh. Of that, a 150-acre Flight Testing Complex will come up adjacent to the existing Puttaparthi runway. ADA will manage the core infrastructure for aircraft systems integration, ground testing, and actual flight trials. The State government has

also earmarked 300 acres for the manufacturing of the AMCA and their supply chain MSMEs for setting up units so that a whole aerospace ecosystem emerges at the same place. On May 15, Defence Minister Rajnath Singh and Andhra Pradesh Chief Minister N Chandrababu Naidu had laid the foundation stone for the Core Integration and Flight Testing Centre.

Production normalising after temporary disruptions in TN facility: Royal Enfield

T E Raja Simhan
Chennai



B Govindarajan, CEO, Royal Enfield RAGU R

Production and dispatches at the Royal Enfield Cheyyar manufacturing facility in Tamil Nadu are returning to normal after labour shortages, Assembly elections and supply constraints impacted operations temporarily earlier this month, the two-wheeler manufacturer said. Speaking during the company’s earnings call, B Govindarajan, Managing Director of Eicher Motors and Chief Executive Officer of Royal Enfield, said the production was affected for about a week to 10 days due to manpower shortages linked to elections, along with LPG shortages and commodity availability issues, Govindarajan said, adding that power disruptions and supplier-side constraints also affected operations temporarily. “There is

no structural correction taking place in demand which is continuing, inquiries are very good and booking trends are very good,” he added.

NEXT PHASE The company has announced a ₹958-crore brownfield expansion at the Tamil Nadu plant, which will increase annual production capacity

from around 14.6 lakh units to nearly 20 lakh units by FY28. “This is where we had land in hand. That’s why we could move quickly with the brownfield expansion,” he said. Royal Enfield said current installed capacity is around 14 lakh units annually, which will rise to more than 16 lakh units by June-July with the addition of a new 500-units-per-day manufacturing module. The larger Cheyyar expansion will subsequently take overall capacity to around 20 lakh units. Govindarajan said the premium motorcycle segment has expanded from 70,000 units a month in FY23 to about 1.1 lakh units currently, with Royal Enfield accounting for nearly 90,000 units. Royal Enfield sold 12.27 lakh motorcycles in FY26, while April sales rose 57 per cent year-on-year to more than 1.04 lakh units

Karnataka notifies 60% hike in minimum wages

Our Bureau
Bengaluru

Karnataka has notified a 60 per cent increase in minimum wages, to significantly boost earnings for workers in the unorganised sector. Under the revised rates, labourers in Bengaluru will receive a minimum monthly wage of ₹23,376, while skilled workers will be entitled to ₹31,114. Labour Minister Santhosh Lad said the revision fulfils a long-pending demand of workers and aligns with Supreme Court directives. The government has also, for the first time, brought all 81 scheduled employments under a single wage notification. The final notification, issued on Friday, comes more than a year after the draft of the revised minimum wages for 81 scheduled employments in the State was published on April 11, 2025. A variable dearness allowance for two years, amounting to ₹1,030, has been incorporated into the minimum wages. Karnataka is the third State in the country to notify revised minimum wages in recent months, after Uttar Pradesh and Haryana.

FINANCIAL SECURITY In a post on X, Labour Minister Santhosh Lad said, “While determining the minimum wages, this revision has been carried out in compliance with the Supreme Court’s directive. Moreover, for the first time, all scheduled employments are being brought under a single notification, replacing the previous classification into four sectors. Overall, this revised wage will infuse new hope into the lives of lakhs of labourers working across the State’s 81 scheduled employments.”

Small MF distributors latch on to online platforms to beat GST complications

Suresh P Iyengar
Mumbai

The complicated GST compliance process and fall in trail commission on older assets have been pushing individual MF distributors to adopt online platform services and gain expertise in selling other financial products. Since April, MF distributors attract GST of 18 per cent on the commission paid by MFs. This has not only made individual distributors to register for GST number but also upload proof of expenses such as office rent, technology software and travel to claim the GST deducted by MFs. **HIGHEST TER** Moreover, the highest TER (total expense ratio) for equity scheme with AUM of ₹500 crore was reduced from 2.25 per cent to BER (base expense ratio) of 2.10 per

cent. Expense ratio reduces progressively as the AUM grows. The lowest TER of 1.05 per cent for equity schemes with asset of over ₹50,000 crore has been reduced to 0.95 per cent under BER. This has resulted in lower trail commission paid to distributors for asset accumulated over the years — falling 5-7 basis. **AMFI NORMS** As per AMFI norms, MFDs with GST registration must submit their invoices between the 7th and 15th of each month, following which RTAs will release the GST amount by the end of the same month. If an MFD raises an invoice after the 15th, the payment is released in the following month, thereby reducing their income. Many MFDs are also facing challenges in submitting the invoice to claim input credit. Arpit Shah, an independ-

ent MFD from Surat said the recent changes have started impacting smaller MFDs and his own monthly income of ₹1 lakh has reduced by ₹20,000. Moving to a technology platform makes more practical sense today because it brings software, operations, marketing and client engagement together in one place, said Shah. Aditya Agarwal, Co-founder, Wealthy.in, a wealth management platform said many distributors struggle on the operational side of GST compliance as tasks that took a few hours earlier are now stretching into 2-3 days, including documentation, reconciliation, invoice uploads and filing requirements. “We take care of the GST compliance layer with the AMCs, so that distributors do not have to coordinate separately with every fund house,” he said.

Green SM’s EV fleet on the roads, ₹35,000 guaranteed driver income signal Vingroup’s India bet ahead of launch

Our Bureau
Mumbai



If you have been driving in Delhi-Gurgaon and NCR recently, chances are you have already spotted the bright turquoise-cyan electric vehicles carrying the Green SM logo. But unlike most fleet launches, there are no giant marketing slogans splashed across the vehicles. That is because the vehicles themselves appear to be the campaign. Vingroup-owned Green SM, the fleet mobility arm of the Vietnamese conglomerate, is preparing for a formal mid-June launch in India. The rollout is emerging as one of the most closely watched developments in India’s electric mobility ecosystem, with market parti-

cipants estimating that roughly 1,500-2,000 Green SM-linked vehicles may already have been staged or operationally prepared in Delhi-NCR ahead of launch. While broader FY27 expectations in industry circles range from 10,000 to 12,000 vehicles which will offer rides to consumers at ₹8 per km nationally if the operat-

ing model stabilises successfully. The company, however, has avoided validating those numbers publicly. **FINAL STAGES** “We are in the final stages of preparation to launch Green SM’s electric taxi service in India,” a company spokesperson told *businessline*, adding that recruitment, training and operational setup activities were already underway. Yet the one number Green SM is willing to publicly stand behind is rapidly becoming the centrepiece of its India strategy. “For now, the intended guaranteed income is expected to be around ₹35,000 per month in the initial stage, designed to support drivers as Green SM introduces the service and gradually builds customer adoption in the

market,” the spokesperson said. The company added that total earnings could potentially rise to around ₹50,000 per month depending on completed trips and operating performance. Zoom out and the fleet operation increasingly appears to be only one layer of a much larger India strategy. **ECOSYSTEM PUSH** Green SM’s rollout fits into Vingroup’s broader EV ecosystem push through VinFast, which has already committed up to \$2 billion toward India over the long term, including investments linked to its Thoothukudi EV facility in Tamil Nadu, eventually scalable to 150,000 vehicles annually. “Green SM is not merely a ride-hailing application. We operate an integrated electric fleet model, where

vehicles, drivers, service standards, and customer experience are managed in a unified system,” the spokesperson said. In India, Uber and Ola typically charge base fares of around ₹37-45 for standard four-seater hatchback and sedan rides, while larger seven-seater categories such as UberXL and Ola Prime SUV can range from roughly ₹100 to ₹165 in base fares, alongside higher per-kilometre charges. **PRICING DETAILS** The company, however, has refrained from confirming any pricing details publicly. “Some figures currently circulating are speculative and have not been confirmed by Green SM,” the spokesperson said. Details of fleet size and commercial policies will be announced “at the appropriate time,” he added.

BJP candidate Debangshu Panda wins Bengal’s Falta Assembly seat in re-poll

Our Bureau
Kolkata

The Bharatiya Janata Party candidate Debangshu Panda won the Falta Assembly seat in West Bengal by a massive margin of more than 1 lakh votes over his nearest CPI(M) rival Sambhu Nath Kurmi on Sunday, in the re-poll. Panda secured 1.49 lakh. Trinamool Congress nominee Jahangir Khan, who had announced two days before the re-poll that he would not contest, slipped to fourth position with only 7,783 votes and forfeited his deposit. Congress candidate Abdur Razzak Molla stood third with 10,084 votes. The BJP secured 71.2 per cent vote share in the repoll, a sharp jump from 36.75 per cent in 2021, while the Trinamool’s vote share crashed to just 3.7 per cent.

While CPI(M)’s vote share stood at 19.34 per cent, that of Congress was 4.8 per cent, according to the Election Commission. The deposits of both the Trinamool Congress and Congress candidates were forfeited. **VOTER TURNOUT** Around 88.13 per cent of the 2.36 lakh electorate cast their votes during the re-election. The fresh election for the Falta constituency was held on May 21 after the Assembly poll for this seat was cancelled on April 29 over allegations of widespread malpractices. Adhikary said, “First and foremost, I bow my head before the people of Falta for sending BJP candidate Debangshu Panda to the Assembly with an overwhelming mandate in the Falta by-election. We will repay this debt through development. We are

committed to building a prosperous Falta.” In a statement on X, TMC chief and former chief minister Mamta Banerjee charged that the Election Commission took no action against the alleged flouting of the Model Code of Conduct in Falta Assembly constituency, and sought an explanation from the poll body.

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thehindu **businessline.**

States see up to 58 per cent jump in sales tax revenue during April

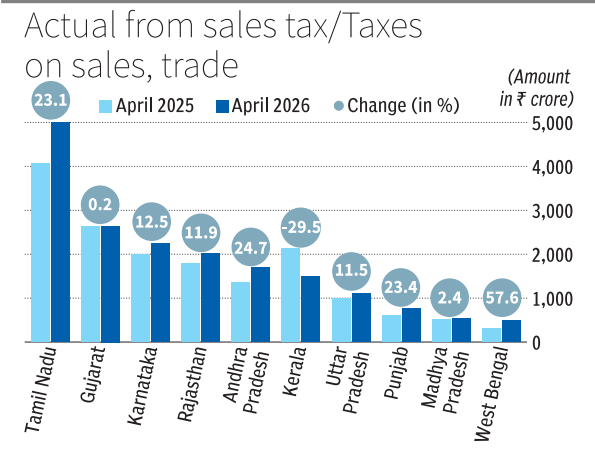
VAT BOOM. Most States have refrained from lowering levies despite Centre reducing excise duty on petrol, diesel

Shishir Sinha
New Delhi

Even as the Centre said it has taken a ₹30,000-crore revenue hit in FY26 by way of excise duty cuts on petrol and diesel, States have continued to see strong growth in collections from sales tax/VAT on petroleum products, with most of them refraining from lowering local levies despite the recent spike in crude prices.

Monthly indicators compiled by the Comptroller and Auditor General of India show that, barring Kerala, States have recorded a growth of up to 58 per cent in collections under “sales tax/taxes on sales, trade etc” during April. A chunk of this revenue comes from VAT and sales tax on petrol, diesel and aviation turbine fuel.

Since the onset of the West Asia conflict, no State or Union Territory has reduced VAT on petrol and



diesel. On ATF, only Maharashtra and Delhi have lowered taxes, according to officials. Petroleum taxes remain among the largest contributors to States’ own tax revenues, accounting for as much as 40 per cent in some cases.

Tamil Nadu collected around ₹5,000 crore under “taxes on sales, trade etc” in April, according to CAG data.

As per the Petroleum Planning and Analysis Cell of the Oil Ministry, the State imposes a combination of *ad valorem* and specific levies, 13 per cent plus ₹11.52 per litre on petrol and 11 per cent plus ₹9.62 per litre on diesel. Gujarat collected over ₹2,600 crore during the month, with taxes including 13.7 per cent VAT on petrol and 14.9 per cent on diesel,

besides cess and VAT on town rates.

DUTY CUT BY CENTRE
Central government sources said the Union Government has reduced excise duty on petrol and diesel four times over the past four years, including during the Russia-Ukraine conflict and disruptions around the Strait of Hormuz, and absorbed a revenue impact of nearly ₹30,000 crore in the latest reduction alone.

“When crude rose in 2022 and again in 2026, the Central excise duty on petrol and diesel was cut. The reduction was direct, transparent, on-budget, and visible at the pump within a day. The exchequer accepted the loss of revenue. No bond was issued, no obligation was deferred, no future taxpayer was committed to repaying anything,” a source said.

Another source said the Centre had also imposed an export levy on diesel and

ATF on March 27 to prevent domestic supplies from being diverted to overseas markets amid elevated international prices. “The export levy contributed to the SAED cut being a net protection of the Indian consumer rather than a revenue giveaway to refiners,” the source said.

Officials argued that retail fuel prices had remained broadly stable over the past four years despite volatility in global crude markets. They pointed out that the retail price of petrol and diesel in Delhi had moved by under 1 per cent in either direction from February 2022 to February 2026, against the Brent benchmark that has moved sharply in both directions across the same period.

The cumulative rise of ₹4.74 per litre in petrol and ₹4.82 in diesel through revisions on May 15, 19 and 23 marked the first major upward movement in pump prices in nearly four years, according to officials.

FAI urges UP, Maha to reconsider directive on non-subsidised fertilizers

Sindhu Hariharan
Chennai

A recent ban imposed on the sale and distribution of non-subsidised fertilizers by the companies that also sell subsidised fertilizers, by Uttar Pradesh and Maharashtra, goes against the Centre’s broader push towards bio-fertilizers.

It could also hurt farmers’ interests in the two large agrarian States, the Fertilizer Association of India (FAI) has claimed, calling for the States to reconsider the order before the sowing season progresses further.

While intended to curb the practice of ‘tagging, that is, forcing farmers to buy non-subsidised products along with subsidised fertilizers, the directive hits the use of non-subsidised fertilizers such as micronutrients, bio-fertilizers, water-soluble fertilizers and specialty products that are considered essential for balanced crop nutrition, the FAI has said in a recent appeal to Maharashtra’s Agriculture Minister Dattatray Bhargane.

“We request you to kindly



intervene in the matter and ensure that the supply and sale of all fertilizers, including non-subsidised products, are permitted in Maharashtra,” the FAI said, seeking to safeguard farmers’ interests and maintain stability in an industry that is already hit by supply chain issues. It is also an arbitrary move at the States level given that the Fertiliser (Control) Order (FCO) is the relevant authority for the industry.

\$1-BILLION INDUSTRY
Industry sources said the UP government brought in such a directive almost three months ago, and now Maharashtra has put out a similar directive on May 20. While subsidised fertilizers are mainly urea, DAP, MOP and complex NPKs, non-subsidised fertilizers comprise highly specialised nutrients needed for balanced nutrition and high-value crops. Industry sources said the non-

subsidised segment is almost a \$1 billion industry today, and all top companies manufacture and deal in it, and have, over the years, invested in this infrastructure.

The government too, over the last several years, has been reducing dependence on urea and moving towards balanced use of fertilizers; the ban on non-subsidised fertilizers in the select States is against this larger objective, the industry notes.

“Such measures undermining the government’s own vision of integrated nutrient management and food security,” FAI said in its letter to Maharashtra.

While acknowledging that tagging is a genuine concern, the industry is asking for a reasonable middle path, the executives who spoke to *businessline* note. The directive may be kept in abeyance through the Kharif season to avoid disrupting the sowing season, and a joint working group can be constituted including Department of Agriculture, FAI, fertilizer manufacturers, dealer associations and farmer representatives, the industry body says.

IndianOil’s Sprint saves ₹2,200 crore in FY26 as West Asia conflict squeezes margins

Rishi Ranjan Kala
New Delhi

Even as the West Asia conflict impacted profitability of PSU oil marketing companies (OMCs), Indian Oil Corporation (IOCL) saved ₹2,200 crore in FY26, leveraging Project Sprint — the refiner’s latest strategy to become future ready.

Also, the company expects to save ₹2,500 crore this fiscal ending March 2027 by leveraging this new strategy. IOCL is expected to be severely hit by the closure of the Strait of Hormuz (SoH) and reconstruction of damaged oil and gas infrastructure.

US SANCTIONS
Although the West Asia conflict began only on February 28, 2026, the entire FY26 has been marked by sanctions imposed by the US, the UK and the EU, which kept refiners busy managing car-



goes and logistics amid shifting geopolitical narratives.

April-June FY27 will be the first quarter when the full impact of the latest tensions in the Middle East Gulf (MEG) region will begin to show.

During the FY26 results’ analyst call last week, the company’s management indicated that IOCL saved around ₹2,200 crore in FY26 through the project and has targeted a saving of ₹2,500 crore in FY27.

“These savings were due

to initiatives such as optimum repairs & maintenance expenditure, better energy efficiency parameters, and supply chain optimisation. We are targeting savings of ₹2,500 crore from this initiative as far as capital is concerned,” it added.

Launched on April 1, 2025, the first major strategic initiative of IOCL Chairman & Managing Director AS Sahney focuses on ramping up core capabilities and unlocking new horizons of operational efficiency, hi-tech innovation, sustainable growth and talent development.

SIX PILLARS
The project a confluence of six pillars — S (strengthen core business), P (propel cost optimisation), R (reinforce customer centricity), I (integrate technology and innovation), N (nature leadership and talent) and T (transition ready).

These pillars are anchored

on 3Cs (core, cost and customer) as well as 3Ts (technology, talent and transition). It underlines the OMC’s investment in innovation, digitisation and sustainable practices that will shape India’s energy future.

For instance, IndianOil said its targeted revenue expenses rose by a modest 2.5 per cent over FY25, from ₹18,187 crore to ₹18,646 crore in FY26, in spite of increase in scale of business and rising costs due to geopolitical conflict.

Similarly, the refinery’s throughput for FY26 is 75.451 mt with 107.4 per cent capacity utilisation against 71.564 mt in FY25, up by 5 per cent. IndianOil’s cross country pipelines also achieved a combined throughput of 105.556 mt in FY26 against 100.477 mt in FY25, an increase of 5 per cent.

Project Sprint is also an effort by the OMC to claw back its market share.

Insist on Tata Sons’ time-bound listing: InGovern to RBI

Our Bureau
Mumbai



InGovern, a proxy advisory firm, has urged the RBI to insist on Tata Sons moving towards a listed structure in a time-bound manner and become regulatory compliant as it remains the only CIC (core investment company) that has been non-compliant with the RBI regulations.

The RBI has neither accepted nor rejected Tata Sons’ deregistration application, but has indicated in many ways that large CICs should be listed.

If Tata Sons remains systematically relevant for regulatory purposes, there is a strong argument that it should also be systematically transparent in governance terms, said InGovern.

InGovern argued that if the RBI continues to treat Tata Sons as significant enough to remain under the upper-layer NBFC framework, then disclosure expectations should also rise

accordingly. The report said “systemic importance” should be matched with “systemic transparency”.

GROUP ENTITIES
Collectively, the listed Tata group entities account for over ₹25 lakh crore in market capitalisation, spanning companies such as Tata Consultancy Services, Tata Motors, Tata Steel, Titan and Tata Power and representing a significant weight within key Indian benchmark indices such as the Nifty 50 and the Sensex.

The Tata group’s listed market footprint represents a meaningful share of the overall market capitalisa-

tion of Indian stock exchanges, including the BSE and the National Stock Exchange of India.

A holding company exercising influence over businesses of such scale — affecting over 1.20 crore of retail shareholders, pension funds, insurance companies, and mutual funds — cannot reasonably remain outside the governance and transparency expectations increasingly associated with systemically important financial and industrial conglomerates, it said.

OPINIONS DIFFER
Reports of differing opinions among Tata trustees are important because they show that the issue has moved beyond a closed internal consensus into a broader governance debate.

InGovern has argued that concerns over a possible holding-company discount cannot be used as grounds to keep Tata Sons outside a listed-company framework, saying the group’s scale and influence now demand

greater public transparency.

“Regulators are not meant to preserve private valuation convenience; they are meant to ensure fair disclosure and orderly markets,” it said.

On concerns that listing could weaken Tata Sons’ ability to support group companies during periods of stress, InGovern cited examples, including Bajaj Holdings & Investment, ITC and Aditya Birla Capital, as large listed entities that continue to pursue long-term investments while operating under public market disclosure norms.

The report also highlighted the position of minority shareholders, including the SP Group, saying a listing would improve price discovery and provide a clearer exit route for investors.

It noted that several listed Tata group companies have together held around 12 per cent in Tata Sons for decades and could unlock value through a transparent market mechanism.

Centre amends rules to include five types of fuel dispensers for verification

Our Bureau
New Delhi

The Centre has amended the Legal Metrology (GATC) Rules, 2013, raising the total number of instrument categories verifiable through government-approved test centres (GATCs) to 23 from 18.

This will allow these testing agencies to also verify petrol/diesel, hydrogen, LPG, LNG and CNG fuel dispensers amid India moving towards cleaner fuel.

Verification fees for petrol

and diesel dispensers have been set at ₹5,000/nozzle, while CNG, LPG, LNG and hydrogen dispensers will attract a higher fee of ₹10,000/nozzle, the government said in a statement.

The amendment will enhance the availability of verification services, improve efficiency and support the growing adoption of cleaner fuels across the country, the Department of Consumer Affairs said. Under the amended rules, state governments will be empowered to notify additional categories of instruments for GATC verification

based on local requirements. Officers of the rank of Joint Secretary and above have also been authorised to approve related matters, aimed at cutting processing delays.

The department also said the reforms would free up State legal metrology departments to focus on inspection and consumer grievance redressal.

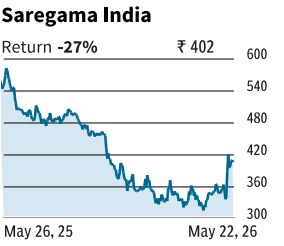
KFC Kerala Financial Corporation
TENDER NOTICE
(KFC/IT/Tender/01/2026-27)
Kerala Financial Corporation, Thiruvananthapuram, invites tenders for Centralized Endpoint Management / RMM Solution to manage its 350 (approx.) end point devices.
Last date of submission of bid: 20.06.2026.
Details are available in the website: www.kfc.org
Thiruvananthapuram, Sd/-
Date: 25.05.2026 MD(KFC)

NATIONAL AGRICULTURAL COOPERATIVE MARKETING FEDERATION OF INDIA LTD
Naman Centre, A Wing, Unit No. 803, C-31 G Block, Opp. Punjab National Bank, Bandra Kurla Complex, Mumbai-400051
PUBLIC NOTICE
Public at large is hereby informed that property bearing Gala No. A2 on the First Floor of Mega Mall, Opp. Oshiwara Depot, Survey No. 6 (Part), CTS No. 1/1A (Part) Village Maule Goregaon, Taluka Borivali, Mumbai 400104, is under attachment of the Sheriff of Mumbai since 2011 under proceedings in the matter pending before the Hon'ble Bombay High Court in Execution Application No. 581 of 2010 (NAFED VS SGI & ORS.). The said property alongwith other units bearing Unit Nos. A-1, A-2 and A-3 on the First Floor; Unit Nos. A-1, A-2 and A-3 on the Second Floor; and Unit Nos. 1, 2, 3, 4, 5, 6, 7, 11, 12, 13, 14, 15, 16, 18 and 19 on the Third Floor of the said Mega Mall were put to auction by the Sheriff of Mumbai in February 2025 and the same have been auctioned and purchased by one Trison Developers LLP upon confirmation of sale thereof but the Hon'ble High Court vide its Order dated 25.02.2025 passed by Hon'ble Mr. Justice Riyaz Chagla.
Public at large is hereby warned not to deal with the said property being Gala No. A-2 Gala No. A2 on the First Floor of Mega Mall, Opp. Oshiwara Depot, Survey No. 6 (Part), CTS No. 1/1A (Part) Village Maule Goregaon, Taluka Borivali, Mumbai 400104 in any manner whatsoever. If any person deals with the said property, he shall be responsible for all legal consequences including contempt proceedings.
Dated this 25th day of May, 2026.

TODAY'S PICK.

Saregama India (₹402.70): BUY

Akhil Nallamuthu
bl. research bureau



The stock of Saregama India has been charting a sideways trend, largely between ₹315 and ₹370, since the beginning of this year.

But a couple of weeks back, it broke out of the resistance at ₹370 and the price is now comfortably above both 21- and 50-day moving averages.

After the breakout, the scrip has been trading flat. However, it sustains well above ₹370, and

the chart shows that the stock has formed a new higher base at ₹390. Therefore, the probability of further rally from the current level is high. We expect it to touch ₹515 in the coming weeks.

So, buy now at ₹402 and accumulate at ₹375. Stop-loss can be at ₹350. When the price rises to ₹460 and ₹490, alter the stop-loss to ₹420 and ₹460 respectively. Exit at ₹515.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

TATA TATA POWER
Corporate Contracts Department)
The Tata Power Company Limited, Smart Center of Procurement Excellence, 2nd Floor, Sahar Receiving Station, Near Hotel Leela, Sahar Airport Road Andheri (E), Mumbai 400 059, Maharashtra, India (Board Line: 022-67173917) CIN: L2820MH1919PLC000567
NOTICE INVITING TENDER (NIT)
The Tata Power Company Limited invites tender from eligible vendors for the following tender package (Two-part Bidding) in Mumbai.
1) OLA for Enforcement activities for Mumbai Distribution for 3 Years (RFQ No. 4100065031)
2) Creation and Implementation of Intelligent Grid Data Hub (GDH) (RFQ No. 4100065659)
3) OLA of 1 year for Supply of LTP, FP, MP, SFU and Changeover Panels for Mumbai Distribution (Ref.No. CC27AS009)
4) OLA for supply of CTPT for Mumbai Distribution (Ref No. CC27AAM008)
5) OLA for supply of Package sub-stations for Mumbai Distribution (Ref.No. CC27AAM009)
For detailed NIT, please visit Tender section on website <https://www.tatapower.com>. Interested bidders to submit Tender Fee, Authorization Letter along with Complete Bid Document by 17:00 Hrs, Tuesday, 16th June 2026
Also, all future corrigendum's (if any), to the above tender will be informed on website <https://www.tatapower.com> only.

HSBC InvestDirect Financial Services (India) Limited
Registered office : 9-11 Floor, NESCO IT Park, Building No. 3, Western Express Highway, Goregaon (East), Mumbai - 400063 Toll Free No. 18002094477
E-mail: nbfchelpdesk@hsbc.co.in, CIN No. U67190MH1996PLC097473

STATEMENT OF FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED MARCH 31, 2026 (in INR lakh)

Sr. No.	Particulars	Quarter ended		Year ended	
		March 31, 2026 (Unaudited)	March 31, 2025 (Unaudited)	March 31, 2026 (Audited)	March 31, 2025 (Audited)
1	Total income from operations	5,778.29	4,212.99	20,244.49	18,546.41
2	Net profit for the period (before tax, exceptional and/or extraordinary items)	2,268.21	1,293.99	7,533.28	5,093.57
3	Net profit for the period before tax (after exceptional and/or extraordinary items)	2,268.21	1,293.99	7,533.28	5,093.57
4	Net profit for the period after tax (after exceptional and/or extraordinary items)	1,687.61	965.74	5,595.11	3,789.26
5	Total comprehensive income for the period [comprising profit / (loss) for the period (after tax) and other comprehensive income (after tax)]	1,680.52	964.34	5,588.03	3,787.86
6	Paid up equity share capital	14,628.47	14,628.47	14,628.47	14,628.47
7	Reserves (excluding revaluation reserve)	30,186.08	24,598.06	30,186.08	24,598.06
8	Share Premium account	19,346.80	19,346.80	19,346.80	19,346.80
9	Net worth	64,127.15	58,548.83	64,127.15	58,548.83
10	Paid up debt capital/outstanding debt	2,27,334.46	1,26,540.09	2,27,334.46	1,26,540.09
11	Outstanding redeemable preference shares	-	-	-	-
12	Debt Equity Ratio	3.54	2.16	3.54	2.16
13	Earnings Per Share (of Rs. 10/- each) (for continuing and discontinued operations) -				
1	Basic:	1.15	0.66	3.82	2.59
2	Diluted:	1.15	0.66	3.82	2.59
14	Capital Redemption Reserve	-	-	-	-
15	Debt Redemption Reserve	-	-	-	-

Notes:
1 The above financial results have been reviewed by the Audit Committee and approved by the Board of Directors at its meeting held on May 22, 2026 respectively. The statutory auditors of the company have carried out audit for the year ended March 31, 2026.
2 The above is an extract of the detailed format of audited financial results for the financial year ended March 2026, filed with the Stock Exchange under Regulation 52 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI LODR Regulations, 2015). The full format of the March 31, 2026 year ended financial results are available on the websites of the National Stock Exchange i.e. www.nseindia.com and on the website of the Company i.e. www.hsbc.co.in/hifs/.
3 For the other line items referred in regulation 52 (4) of the SEBI LODR Regulations, 2015, pertinent disclosures have been made to the National Stock Exchange and can be accessed on www.nseindia.com. The same is also available on the website of the Company at www.hsbc.co.in/hifs/.

For and on behalf of the Board of Directors of **HSBC InvestDirect Financial Services (India) Limited**
Sd/-
Berlin Varghese
Managing Director
(DIN 10059070)

Place : Mumbai
Date : May 22, 2026

HSBC | InvestDirect

Fiscal dividend

RBI's dual transfers, a confidence booster

In what must come as a measure of comfort in these otherwise grim times for the fisc, the Reserve Bank of India has transferred a record dividend to the Centre, while also setting aside ample sums for its own contingency buffers. The Centre needs the funds badly, and so does the RBI — both for distinct reasons. Besides reducing fiscal stress, the dividend will also infuse liquidity into the system, now shrinking due to RBI interventions to shore up the rupee.

At ₹2.86 lakh crore for 2025-26, RBI's dividend transfer is almost 7 per cent higher than last year's. This may help in reducing the Centre's rising fiscal deficit this year. Meanwhile, the RBI needs the comfort of ample contingency reserves for market intervention in these very volatile times. With respect to the latter, a revised economic capital framework, adopted by the RBI in 2025, provides it the flexibility to maintain the contingency risk buffer at 4.5-7.5 per cent. To support the Centre during Covid-19 pandemic, the CRB had been lowered to 5.5 per cent of the RBI's balance sheet. As economic activity normalised, the buffer had been gradually increased to take it to 7.5 per cent of the balance sheet in 2024-25. It is well that the RBI has not used the entire leeway provided by the revised economic capital framework and has lowered the CRB's portion by only one percentage point to 6.5 per cent of its balance sheet, despite the exigencies created by the war. Even so, the transfer to CRB is 143 per cent higher for 2025-26, at ₹1.09 lakh crore. This has been made possible by the RBI's balance sheet expanding 20.6 per cent to ₹91.97 lakh crore; much higher than the expansion of 8.2 per cent in 2024-25. A 26 per cent rise in RBI's income (gross and net) has come in very handy.

The expansion in the balance sheet appears driven by the open market operations in government securities to support the government borrowing programme and infuse liquidity. The RBI did not buy much gold in FY26, restricting the purchases to 0.9 tonnes. But the 61 per cent surge in domestic gold prices in 2025-26 will also have boosted its currency and gold revaluation reserve. The sharp increase of 26.42 per cent in gross income appears led by the sale of US dollars, purchased at lower rates, and the higher interest income on its holding of domestic and foreign government securities, due to the high yields prevailing in India and the US.

As for the Centre's finances, the fisc will be faced with rising subsidies on food, fertilizer and fuel, alongside welfare and stimulus commitments; on the other hand, revenues will not be buoyant. Higher crude prices and reduced margins could lower dividends from oil majors. Margins of companies are expected to decline, impacting corporate tax collections. Lower consumption due to inflation can dent indirect tax revenues. In sum, with oil prices likely to be above \$90 a barrel on average in FY27, a fiscal target of 4.3 per cent of GDP looks daunting — and, this dividend transfer could help.

OTHER VOICES.

THE WALL STREET JOURNAL.
EUROPE

Trump has lost the governing plot
Republicans don't want to say this publicly, but privately they do: President Trump's personal political obsessions are hurting his Presidency, harming the chances for further policy gains the rest of this year, and putting control of the House and Senate in jeopardy. That's the backdrop to the GOP revolt this week in Congress on war powers and funding for the Department of Homeland Security. Mr. Trump's unrelated priorities are handing Democrats gift after gift and forcing Republicans to take difficult votes that could cost them in November. His desire for political revenge is also alienating Members of Congress he will need this year. (NEW YORK, MAY 23)

GULF NEWS
ARABIA EDITION

UK-Gulf deal is a needed boost for free trade globally
At first glance, little seems to connect disparate items such as medical equipment, luxury cars, chocolate or butter. This week, however, four years of talks and a 2,000-page agreement brought them together. Such goods may be among the cheaper, more available British exports on sale in the Gulf as part of a milestone free-trade deal struck between London and the GCC. It is a major moment for both parties. The UK has codified a strategic and significant trade relationship with the six-nation bloc. The GCC nations combined are equivalent to the UK's 10th-largest trade partner, with demand for imports to the group forecast to double by 2050. For the GCC, the deal is its first free-trade pact with a G7 nation and builds on the deep historical and people-to-people ties that have existed with the UK for decades. (DUBAI, MAY 22)

Creating semicon dependency?

DESIGN MATTERS. With focus merely on assembly, testing, and packaging, India walks into a high-investment, low-yield trap



NISHANT SAHDEV

India is pouring concrete in Odisha, but the rules for what goes inside those factories are redrafted in Washington. While the recent inauguration of domestic packaging facilities is a legitimate win for job creation, celebration is justified but complacency is not. While bilateral frameworks like the Initiative on Critical and Emerging Technology (iCET) are sold to Indian institutional investors as a triumph, the numbers tell a harsher story.

In February, Washington imposed a uniform 10 per cent tariff. In March, the USTR launched aggressive Section 301 investigations into industrial capacities across 16 economies. These are not accidents of diplomacy. They are the new baseline of American trade policy, which is growing highly protectionist. India is building the physical hardware for the future, but the US holds the rules for how that hardware can be used. We are building a house on a rented foundation.

New Delhi suffers from the assumption of linear progress. Policymakers believe geopolitical alignment with the US guarantees technology transfers, which fuels manufacturing, ending in export dominance.

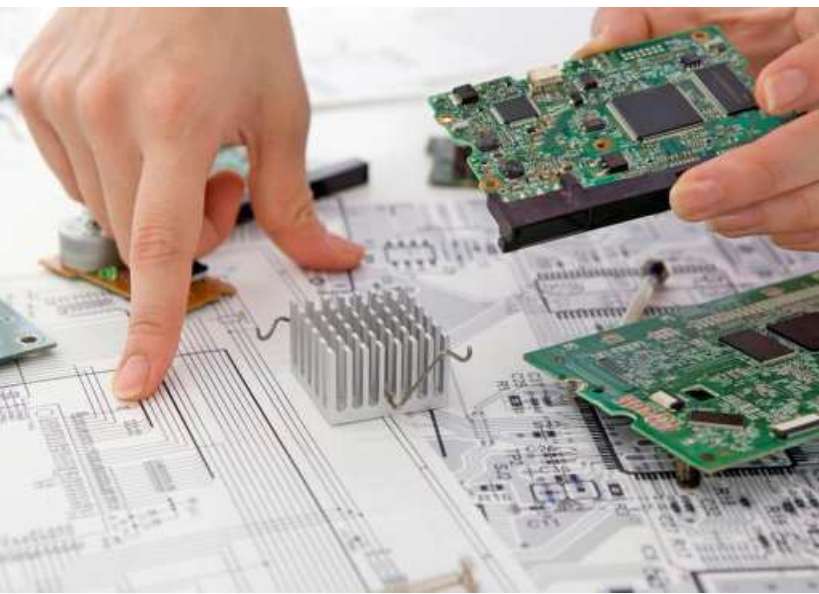
This ignores how modern supply chains actually work. Trade policy today is a highly volatile market. If a domestic facility's viability can be erased overnight by a sudden pivot in foreign export controls, it is not an independent Indian asset. It is a leveraged project dependent on external permission.

THE PACKAGING TRAP

Washington's playbook in the Indo-Pacific is economically rational: onshore the high-margin, intellectually rigorous work of chip design and AI research, and outsource the lower-margin, ecologically demanding labour of assembly, testing, and packaging (ATP) to partner nations.

Look at the underlying economics. In the global semiconductor value chain, fabless design and core intellectual property capture nearly 50 per cent of the industry's total profit. Assembly and packaging yield less than 10 per cent. By focusing state incentives primarily on ATP and legacy manufacturing, India walks into a high-investment, low-yield trap.

A fab without design capability is a factory with rent to pay. The 3D Glass Solutions partnership in Odisha creates vital employment, but it cannot be the



ACT NOW. India must aggressively scale up its chip design linked incentives GETTY IMAGES

final destination. Without a corresponding surge in indigenous chip design and intellectual property ownership, India will remain a highly capable subcontractor.

This is the Silicon Shackle: achieving the status of being physically indispensable to the global supply chain, while remaining fundamentally dependent on the original architect. If India owns the building but not the operating system, sovereignty is cosmetic.

THE TOKEN TAX

This dependency extends into the digital sphere. A new zone of influence is being drawn by the US Department of Commerce that prioritises American technological hegemony over global market access.

Under these rules, acquiring the compute-dense GPUs (graphics processing units) necessary for India's 10,000-chip National AI Mission requires navigating National Validated End-User (NVEU) authorisations. For Indian data centres, these mandatory audits act as a silent embargo. They delay time-to-market by months. India subsidises the power and constructs the data centres, but the computing power humming inside them remains audited and overseen by a foreign capital.

India is building the physical hardware for the future, but the US holds the rules for how that hardware can be used. We are building a house on a rented foundation

Compute dependence is the new oil dependence. Furthermore, we must confront the hidden economic drain of our current AI ecosystem. Over 80 per cent of Indian AI startups today build their applications on top of US-hosted, proprietary foundational models. This creates a perpetual Token Tax. Every time an Indian enterprise utilises an American API to process a prompt or analyse data, a micro-payment of capital — and crucially, behavioural data — flows outward.

India's electronics import bill is already projected to cross a staggering \$120 billion by the end of this fiscal cycle. Now, factor in the cost of artificial intelligence. A single cluster of top-tier Nvidia GPUs costs tens of millions of dollars, and Indian enterprises are currently forced to rent this compute power by the hour from American hyperscalers. If we do not cultivate our own foundational model weights, we will add a crippling digital trade deficit to that ledger. We risk becoming a vast workforce of diligent prompt engineers rather than the architects of original systems.

THE CLOSING WINDOW

Historically, India's greatest leverage in technology negotiations has been its demographic scale. We represent the largest open data market in the world, processing over 13 billion digital public infrastructure transactions every single month. Global AI giants have extracted this data to train their models for free.

This is where India should worry. The frontier of artificial intelligence is moving away from scraping raw human data. The next generation of models increasingly relies on synthetic data — data autonomously generated by

algorithms training themselves. As this happens, our demographic advantage will precipitously diminish. Once algorithms no longer need our data to become smarter, our primary bargaining chip disappears.

We must urgently enforce a Data-for-Tech framework. If foreign entities wish to utilise the high-quality datasets generated by the Indian populace, they must be compelled to provide more than localised software services. They must share the underlying blueprints: the model weights and the source code. Access to our digital market must be priced as a high-value geopolitical trade.

A POLICY BLUEPRINT

If India wants to transition from diplomatic optimism to hard-headed execution, it must adopt an uncompromising approach:

A sovereign GPU reserve: India must establish a state-backed stockpile of high-end compute. This requires unlocking institutional capital to secure long-term, non-revocable licences for cutting-edge hardware, insulating domestic startups from sudden export control shocks.

IP co-development mandates: Any foreign firm receiving taxpayer-funded incentives under the India Semiconductor Mission must be legally required to enter into binding IP co-development agreements with Indian entities. We need the design blueprints, not just the assembly instructions.

Targeted chip design scaling: India must aggressively scale up its Design Linked Incentives (DLIs), offering massive R&D tax credits specifically for fabless chip design firms. The objective is clear: own the intellectual architecture of the chips we are currently paying to package.

The 'Indi-LLM' initiative: We require a heavily funded national mission to build foundational models trained explicitly on Indian languages and legal frameworks, with the core weights stored domestically. This guarantees that if external APIs are ever restricted, India's digital nervous system continues to function.

The global technological order is currently being recalibrated. The margin for error is zero. To move beyond the role of a diligent subcontractor, India must recognise that true autonomy is the product of calculated hedging and aggressive IP ownership. We must ensure that when we build for the future, we are building on ground that we unquestionably control.

The writer is a physicist at the University of North Carolina at Chapel Hill and a columnist on AI, infrastructure, and global systems

Why Ebola is turning into a public health emergency

Unlike previous outbreaks, this one, caused by the Bundibugyo virus, has no approved vaccines or therapeutics

bl.explainer

PT Jyothi Datta

The outbreak of Ebola in the Democratic Republic of Congo (DRC) and Uganda resulted in the World Health Organization (WHO) calling it a Public Health Emergency of International Concern (PHEIC) — the highest level of alarm from the UN health agency. Ebola's outbreak comes even as the Covid-19 pandemic remains a recent memory.

What do we know of Ebola disease?

Three different viruses, according to the WHO, are known to cause Ebola disease outbreaks — namely, Ebola virus, Sudan virus and Bundibugyo virus. The disease is severe, often fatal in humans — with the average case fatality rate being around 50 per cent. First reports of the Ebola disease are the two simultaneous outbreaks from 1976 — the Sudan virus disease in what is now South Sudan; and the Ebola virus disease in DRC. The latter occurred in a village near the Ebola River, thus the name.

International health administrators are worried at the speed of the spread,

exacerbated by, among other things, weak health infrastructure, reduced US funding and conflict in some regions. According to the WHO, as of May 21, 82 cases were confirmed in DRC, the ground-zero of the Ebola outbreak, with seven confirmed deaths. There are almost 750 suspected cases and 177 suspected deaths. Uganda reported two confirmed cases in people who travelled from DRC, with one death, the health agency said.

How does the Ebola virus spread?

The zoonotic virus (from an animal) spreads between people through direct contact — from broken skin or mucous membranes; blood or body fluids of a sick person or one who has died from Ebola disease; from objects or surfaces that have been contaminated with body fluids (like blood etc). Healthcare workers often get infected while treating patients with Ebola — if infection control measures are inadequate.

People cannot transmit the virus before they have symptoms, but they remain infectious as long as their blood contains the virus. As a result, burial ceremonies involving direct contact with the body of a person who has died



WORRISOME. The speed and spread of the virus REUTERS

can also contribute to the transmission of Ebola disease, the WHO said.

What does the PHEIC mean, does it mean the world faces another pandemic?

On May 17, 2026, the WHO said the Ebola disease caused by the Bundibugyo virus in DRC and Uganda constitutes a PHEIC, but stopped short of calling it a global pandemic, as it did not meet the criteria of the International Health Regulations (2005). The definition calls for an international coordinated response, to an outbreak presently reported locally in Africa.

Has India reported Ebola in the past, is the country at risk?

India has not reported an Ebola case this time, or during previous outbreaks, said Union Health Ministry representatives.

What measures is the Indian government taking?

The Centre, on Sunday, urged citizens to avoid non-essential travel to Ebola-hit regions. This follows an earlier advisory calling for the screening of travellers from these high-risk regions. Passengers showing symptoms even 21 days after travel have been asked to contact local health authorities.

What are the symptoms and treatment?

Symptoms include fever, fatigue, muscle pain, headache and sore throat. It can be followed by vomiting, diarrhoea, rash, internal and external bleeding.

The WHO chief recently said, unlike previous Ebola outbreaks, caused by Zaire virus, this outbreak from the Bundibugyo virus has no approved vaccines or therapeutics. Those infected are isolated and given supportive treatment to address the symptoms.

BELOW THE LINE



Timing matters

Prime Minister Narendra Modi was conferred the prestigious Agricola medal by the Food and Agriculture Organization (FAO) last week. The medal was awarded for demonstrating "exceptional commitment to eradicating hunger,

reducing poverty, and ensuring global food security and nutrition". The late Manmohan Singh was similarly awarded in 2008 for spurring agricultural development and reducing hunger and poverty in India. A little bird wonders about the timing of the award. Is it in preparation of a tough time ahead for the agriculture sector, with wheat, rice and corn production projected to fall? Is the FAO looking to India to tide any hunger or food security crisis in the least developed countries due to the ongoing Iran war and the evolving El Nino weather? It's something only the FAO can answer.

Ministers turn jittery

The recent Council of Ministers meeting seems to have left quite a few ministers jittery. During a performance review presentation by the Cabinet Secretary in the presence of Narendra Modi, one slide apparently drew unusual attention. It was about ranking of ministers based on the number of files pending with them for over a month. The bureaucratic equivalent of "naming and shaming", as some described it, has since triggered a flurry of activity across ministries. One minister, who figured near the top of the list with more than 35 files pending beyond 30 days, some for

over 50 days, reportedly returned red-faced and immediately summoned senior officials for a review meeting. Officers were told to ensure all background notes and inputs are placed before him quickly so decisions can be expedited. The sudden burst of urgency, however, amused some insiders. "If every file needs a presentation before disposal, then the delay is intentional, not natural," quipped one official. **'Son Rise' in AP?** Will there be a "son's rise" in Andhra Pradesh politics? The buzz is growing ahead of the Telugu Desam Party's (TDP) Maha Nadu later this month. Nara Lokesh, son of Chief Minister N

Chandrababu Naidu, has steadily emerged as a key face of the NDA government in the State — handling IT and HRD while also spearheading investment outreach, including the marquee Google data centre project in Visakhapatnam. Naidu recently added to the speculation by saying Lokesh deserved "bigger responsibilities". With Lokesh's political stock rising, Andhra Pradesh political circles are now asking: Is Naidu preparing for a larger national role in the NDA while gradually handing over the State's reins to his son? This is now a million-dollar question. **Our Bureaus**

A cricket tour with a fan

An endearing personal account of a spectator

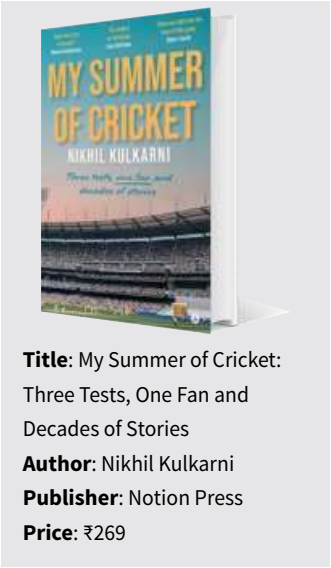
BOOK REVIEW.

S Giridhar

I picked up *My Summer of Cricket* by Nikhil Kulkarni — a kind of personal diary, recounting a fan’s experience of watching a Test series in the stadiums — with a sense of intrigue. For the book is about watching India’s doleful series that we lost 3-1 to Australia in 2024-25. Now, that takes courage, for who would want to write about a series where India were outplayed in every other Test? It is a slim book and covers the author’s travels and experiences of the last three Tests of the series at Brisbane, Melbourne, and his home-town Sydney. This is a cricket lover’s diary; his awe, wonderment, and happiness at watching the games from the ground; it is an account of a person who savours what the cities have to offer outside his cricket viewing time.

THIS ONE IS DIFFERENT For those who might think of Bharat Sundaresan’s book on India’s fairytale series win in 2020-21 (*The MiracleMakers: India’s Greatest Epic*) or Rahul Bhattacharya’s book on India’s first ever win in Pakistan (*Pundits from Pakistan: On Tour with India 2003-04*), please know this one is different. Those books, we read, to enjoy the first-hand analysis and experiences, available only to journalists who travel with the team. In *The Summer of Cricket*, Nikhil Kulkarni, feels, thinks, and expresses himself as a spectator in the stands. It’s written like a personal diary, sharing from his life as much as from the cricket he is watching.

It is an endearing memoir. Though initially there are places where Kulkarni, in his eagerness to share everything, loses the reader’s attention. But to his credit he quickly pulls back the reader with a fun fact, a droll anecdote or a deft turn of phrase. The confidence and assurance in the writing rise with every chapter. Brisbane, Melbourne and Sydney are sandwiched between a warm-up chapter called “The Run-Up” about the author’s early memories (from the times of Sachin as a 16-year-old prodigy) and the concluding chapters, titled “The Game Continues” and “Postscript”. In the concluding chapters (in fact from Melbourne) he is a batter in form and full flow. His account of the MCG and



Title: My Summer of Cricket: Three Tests, One Fan and Decades of Stories
Author: Nikhil Kulkarni
Publisher: Notion Press
Price: ₹269

Melbourne city is lovely. His description of the ground, its facilities, the uniquely wonderful experience of watching a game here are written as though he is whistling a joyful tune while typing. Be it a day among the boisterous Bay12 or a day in the P20 stand, with a spectacular view behind the bowler’s arm, our man lives every moment of the dream. The Boxing Day Test at MCG came after Gabba, so Kulkarni must write about Gabba and Brisbane before serenading us through Melbourne. While he is gentle on Gabba and Brisbane, the ground could clearly do with some improvement. It also did not help, that much of the game at the Gabba was washed out. That he had the same dinner (a dish called Laksa) on all five days of the Test tells us he found Brisbane boring. When he writes about MCG and Gabba, it is with the wonderment of a person watching his first Test. Naughty man, for when he comes to Sydney, his home-town, for the final Test, we realise, he is actually a seasoned spectator, having been many times to the SCG.

NIMBLE ON SOCIAL MEDIA Through the book, one sees, how much he packs into each day. Our author is alert, agile, extremely nimble on social media; he is an active and valuable member of the Australia India Youth Dialogue and such forums. He loves meeting people and it is all these attributes that enable him to work up such a whirlwind of connections and interactions around and beyond the game.

The reviewer, one of the earliest members of Azim Premji Foundation, is the co-author of ‘Mid-wicket Tales: A Century and More of Cricket’ and ‘From Mumbai to Durban: India’s Greatest Tests.’

Building a business sans VC money

R Narasimhan’s book is a useful manual for first-time entrepreneurs looking to create thriving companies

BOOK REVIEW.

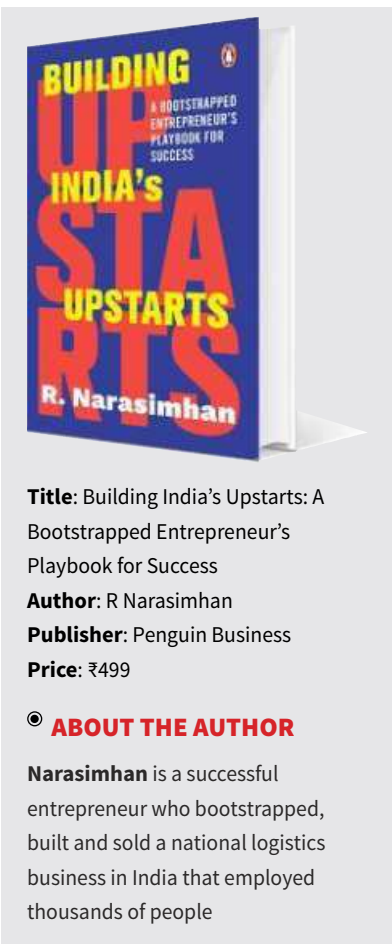
Penelope MacRae

Books about startups that become overnight tech unicorns are a dime a dozen on business shelves. But *Building India’s Upstarts* by R Narasimhan is an entirely different breed of guide, a how-to manual to creating businesses that opt for steady growth and can still win big. It offers a clear, step-by-step account to first-time entrepreneurs of what it takes to build a company without venture capital that survives, thrives and can eventually be sold. Narasimhan has engineering degrees from IIT Madras and Purdue, and a management degree from the Haas School at UC Berkeley. The book serves in part as a memoir and in part as a textbook. The title itself is a play on words: not “startups” in the Silicon Valley sense, but “upstarts” — entrepreneurs building their way to success brick by brick. For readers who tend to zone out over detailed passages, he has thoughtfully included a summary of key takeaways at the end of each chapter. After a solid career in the US with multinationals like Yahoo, Logitech and PricewaterhouseCoopers, he realised he did not want to remain a manager in a global corporation. Instead, he wanted to build something of his own. He returned to India and chose the decidedly unglamorous world of logistics, convinced that the fundamentals of intracity commercial transportation were fragmented — even broken — and ripe for change. Starting with around ₹50 lakh in savings, Narasimhan spent over a decade building a national company that employed thousands before eventually

selling it to Delhivery, one of India’s largest logistics and supply chain companies.

BUILDING ON SMALL WINS What makes his highly readable account particularly useful for first-time entrepreneurs is that Narasimhan had to “bootstrap” his way to success, learning from mistakes and building steadily on small wins. “As a novice founder with no background in entrepreneurship, little background in my chosen sector of logistics and no experience working in India, I had to learn the ropes from the ground up,” he writes. He deliberately chose a traditional sector with modest capital requirements, where customers understand what they are buying and producers have clarity on demand, pricing and profitability. Logistics was his entry point, but he also points to sectors like food, healthcare and retail as fertile ground, given India’s persistent supply constraints and fast-expanding market with the country’s 1.45-billion population.

He set up in Chennai, where he had cultural familiarity, language comfort and family support, and where he did not need large amounts of capital to begin. From the outset, his goal was not to burn through investor capital and build a hyperscale startup chasing rapid market dominance. Instead, he focused on creating a sustainable, profitable business that could grow steadily without the pressure of delivering quick returns. He also made the conscious decision to remain a solo founder rather than bring in an equity partner, choosing instead to hire experienced professionals to build his team and scale the business. Being an entrepreneur, he argues, is “all about trusting people beyond yourself to do things that you



Title: Building India’s Upstarts: A Bootstrapped Entrepreneur’s Playbook for Success
Author: R Narasimhan
Publisher: Penguin Business
Price: ₹499

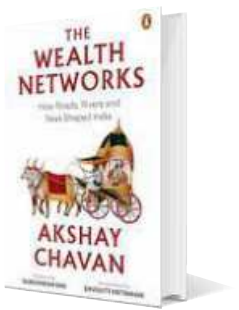
ABOUT THE AUTHOR Narasimhan is a successful entrepreneur who bootstrapped, built and sold a national logistics business in India that employed thousands of people

building a “culture of process consistency”. His operating mantra is “product-value-fit”, which means staying laser-focused on what customers are willing to pay for, while steadily improving processes and adopting technology incrementally to enhance competitiveness and profitability. Narasimhan points to companies like Marico, Haldiram’s and Agarwal Packers and Movers as examples of businesses that grew steadily in both scale and value over time.

EXPECT THE UNEXPECTED He walks readers through the mechanics of building a business in India: managing cash flow, expanding services, navigating taxation and regulation, and building teams. One of his clearest warnings is to expect the unexpected. In the early years, he faced crises that could easily have sunk the company — a lost truck, a flooded warehouse, even an employee who stole customer goods — but managed to work through each setback. He also stresses that entrepreneurs do not need to be workaholics. There is limited productivity a founder can sustain beyond eight hours a day over the long term. As Marc Randolph, Netflix’s co-founder, has observed: “You don’t lose the deal at 2 am because you didn’t check the fonts. You lost it four weeks ago when you didn’t get the fundamentals right.” Ultimately, having nurtured his company from infancy to scale, Narasimhan concluded that his mission was accomplished. To take the business forward, he decided the best course was to sell it to the right corporate custodian that could expand its footprint. As he puts it, the upstart had grown up — and “it was time for it to step into bigger shoes”.

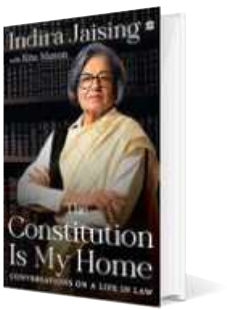
The reviewer is a former Reuters correspondent who writes on business

NEW READS.



Title: The Wealth Networks: How Roads, Rivers, and Seas Shaped India
Author: Akshay Chavan
Publisher: Penguin Business

The book offers a different way of seeing history. Once you notice the patterns, the past and the present begin to look different



Title: The Constitution Is My Home: Conversations on a Life in Law
Authors: Indra Jaising and Ritu Menon
Publisher: HarperCollins India

The book is both a vital record of resistance and a call to hold fast to the republic’s founding promises



Title: Bringing the Cheetah Back to India: How Diplomacy Made Conservation’s Big Mission Possible
Author: Prashant Agrawal
Publisher: Hachette India

The book for the first time narrates the human drama behind one of conservation’s most ambitious experiments

thehindubusinessline. TWENTY YEARS AGO TODAY.

May 25, 2006

Reliance eyes cane processing Reliance Industries Ltd (RIL) is slated to make a presentation before the Union Agriculture Minister, Mr Sharad Pawar, on its proposed foray into sugarcane processing. The company is planning to set up three units, each with capacity to crush over 10,000 tonnes of cane per day, in Maharashtra. Unlike normal sugar factories, these would convert the entire sugarcane juice to ethanol.

Dishman to buy Swiss co Solutia’s unit The Ahmedabad-based Dishman Pharmaceuticals & Chemicals Ltd has reached an agreement to buy the pharmaceutical services business of Solutia Inc for a consideration of \$74.5 million (₹340 crore). The acquisition is Dishman’s second in Switzerland this year.

EPFO awaits norms to invest in equity markets Even if the Central Board of Trustees allows it, the EPFO would be constrained from investing in the equity market because the Labour Ministry has still not notified the revised guidelines for EPFO investments. According to rules, the Finance Ministry first issues the notification following which the administrative ministry concerned makes the guidelines applicable.

Short take

An unhealthy workforce cannot deliver growth

Indu Bhushan

Despite progress over the past decades, India continues to carry nearly 20 per cent of the global disease burden while accounting for less than 2 per cent of global healthcare spending. The economic implications of this imbalance are profound. A persistently high disease burden lowers workforce participation, reduces productivity, and imposes an estimated annual opportunity cost of over \$1 trillion on the economy. The relationship between health and economic performance is well established. Improvements in health-adjusted life expectancy (HALE), the number of years lived in good health, are closely associated with higher income growth. Once HALE crosses a

threshold of around 57-60 years, GDP per capita growth accelerates materially. India has already crossed this threshold, with HALE improving from about 50 years in 1990 to around 61 years today. But this is not enough. To align with its 2047 ambition, India will need to push HALE closer to 70 years. The growth challenge, therefore, is no longer just about expanding the workforce, it is about improving the quality and productivity of those working years.

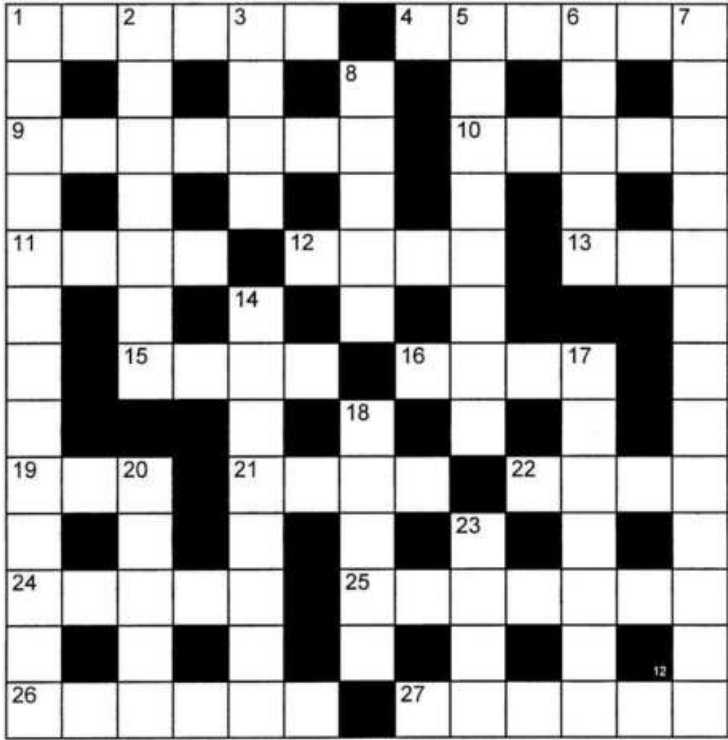
POLICY IMBALANCE A healthier population works more, earns more, and saves more. Households protected from medical shocks invest more productively. At the macro level, these effects translate into stronger and more resilient growth. At the heart of this challenge lies a fundamental policy

imbalance. India’s public investment in health remains among the lowest in the world. Government health expenditure is still around 1.3-1.5 per cent of GDP, well below the 2.5 per cent target articulated in the National Health Policy 2017, and significantly lower than levels seen in comparable economies. The consequences of this underinvestment are visible in the structure of health financing itself. India’s total health expenditure stands at about 3.3 per cent of GDP, compared to 6-7 per cent in many peer economies. Even more telling is its composition: out-of-pocket expenditure, though declining, still accounts for around 44 per cent of total health spending, among the highest globally. High out-of-pocket costs suppress household consumption, delay care, and

push families into financial distress, thereby dampening aggregate demand and slowing growth. The next phase requires a shift from incremental expansion of access to systemic improvement in outcomes. Estimates suggest that India will need over \$200 billion to address gaps in healthcare infrastructure and service delivery. Equally important is the prioritisation of primary and preventive care, which offers the highest long-term returns by reducing the burden of disease before it escalates into more complex and costly conditions. This requires sustained public investment, stronger risk pooling through insurance, and a stable policy environment that encourages private investment and innovation.

The writer was founding CEO of Ayushman Bharat

BL TWO-WAY CROSSWORD 2686



EASY

ACROSS

- Mean, trashy (6)
- Weighing-device (6)
- Sentimental fiction (7)
- Clear away, dispose of (3,2)
- In a frenzy (4)
- To tumble (4)
- Lug (3)
- Tidy, trim (4)
- Record (4)
- Human skill and ingenuity (3)
- Notion (4)
- A tangle in hair (4)
- Visible part of tooth (5)
- Small flute (7)
- Epistle (6)
- Vipers (6)

DOWN

- Essentially a part (4,3,6)
- Personal satire (7)
- To telephone (4)
- To grouse (8)
- To fall from grace (5)
- Believing in omens, etc (13)
- An award (5)
- Ability to endure suffering, delay etc (8)
- Give solace or comfort to (7)
- Speed and rhythm (mus) (5)
- Rainbow fish (5)
- Hallucinatory drug (4)

NOT SO EASY

ACROSS

- Party of about fifty is perhaps not worth considering (6)
- They weigh the thin plates of fish (6)
- Fiction more can turn to (7)
- Dispose of the modus operandi young dog uses (3,2)
- Running wild, a donkey loses its tail (4)
- The autumnal collapse (4)
- There’s a bit of corn in the arrangement (3)
- Looks trim without water being added to it (4)
- Record is kept in Washington location (4)
- Occult knowledge of painting (3)
- It occurs to one if a die is cast (4)
- A favour that’s not to be heard of (4)
- To hit him on the head can make a man a king (5)
- Small Italian wind instrument (7)
- Cee for communication, perhaps (6)
- Perhaps dreads their bite, which is venomous (6)

DOWN

- It is essentially a piece of apparel doctor can’t make up (4,3,6)
- Satirise one man playing polo? (7)
- The circle is squared where boxing is concerned (4)
- Grumble about policeman abandoned by the East (8)
- A failure in memory shows up in one’s pals (5)
- Believing in omens, use spirits out of order (13)
- Gong gets first diners in to their repast (5)
- Solitaire may be got with willingness to wait (8)
- Organist’s key-desk may bring one some comfort (7)
- The pace of piece will rise: use delaying tactics (5)
- Tutor may turn into interfering old woman (5)
- Drug partly eradicated as it turns up (4)

SOLUTION: BL TWO-WAY CROSSWORD 2685

ACROSS 1. Succinct 7. Drive 8. Soldier 9. Nestled 10. Eros 12. Thunder 14. Psychic 17. Stop 18. Inhuman 21. Vintage 22. Tower 23. Assented
DOWN 1. System 2. Colloquy 3. Ibis 4. Cornet 5. Will 6. Lender 7. Dispute 11. Scheme 13. Distract 14. Plinth 15. Canvas 16. Append 19. Howl 20. Once

NEWS SNIPPETS.

New coating steps up green hydrogen output, lowers cost

Researchers at Indian Institute of Technology, Guwahati, have developed a new coating technology that could improve the efficiency and durability of solar-powered green hydrogen production systems, potentially helping lower costs and improving the reliability of clean hydrogen generation.



The study, published in the journal *Small*, focuses on photo-assisted electrochemical (PAEC) water splitting, a process that uses sunlight to split water into hydrogen and oxygen. Green hydrogen produced through such methods is increasingly seen as a key fuel for decarbonising sectors such as refining, fertilisers, steel and heavy transport.

A major challenge with existing solar water-splitting systems is the gradual peeling of catalyst coatings from electrodes, which reduces performance over time. In addition, gas bubbles formed during the reaction tend to stick to electrode surfaces, blocking active sites and lowering hydrogen output.

The IIT-Guwahati team addressed both issues by developing a composite coating that combines graphitic carbon nitride — a two-dimensional photocatalyst — with a bubble-repellent hydrogel layer on porous nickel foam.

Unlike in conventional approaches where photocatalysts are simply coated on electrode surfaces, the researchers embedded the catalyst within the coating structure itself, says a press release from IIT-Guwahati. According to the team, this improved adhesion and enhanced surface activity enabled the gas bubbles to detach more quickly during reactions.

The researchers reported that the new coating delivered 51 per cent higher hydrogen production and 44 per cent higher oxygen production compared with conventional systems.

Real estate dividends from clean energy transition

India's accelerated renewable energy push is expected to create a \$10-15 billion opportunity in land aggregation and



acquisition by 2030, opening up a major new business avenue for the real estate sector, according to a report by Colliers.

In the report titled 'The green shift:

Renewable prioritisation reshaping Indian real estate', the property consultancy said an estimated \$110-120 billion investment is likely to flow into solar and wind energy projects in the next few years.

Land acquisition and aggregation alone typically account for 10-12 per cent of the total project cost in renewable energy development. The report noted that in solar projects, most land is acquired either directly by private developers or through State and central nodal agencies for large solar parks. In wind projects, land is mainly needed for substations and associated infrastructure, while turbine sites are often secured through lease arrangements.

Beyond land transactions, the report said, the renewable energy expansion could generate wider opportunities for the real estate ecosystem, including industrial and warehousing demand from original equipment manufacturers, as well as services such as site surveys, feasibility assessments, engineering procurement and construction, and operations and maintenance facilities.

India has set ambitious renewable energy capacity targets as part of its broader energy transition and decarbonisation strategy, leading to a rising demand for large contiguous land parcels across states with high solar irradiation and wind potential.

According to Colliers, the growing scale of renewable deployment is increasingly positioning real estate and infrastructure players as key enablers of clean energy transition.

POWER DILEMMA

Electrifying energy consumption

POLICY SHOCK. What prevents India from reducing power supply losses by raising the share of electricity in the overall energy mix?

M Ramesh

In 2024-25, India's energy supply stood at 9,32,816 kilotonnes of oil equivalent (domestic production and imports); the energy consumed was 6,08,578 KToe, according to Energy Statistics India. This means 35 per cent of total primary energy supply (TPES) was taken away by conversion and system losses.

The number, which was the same the previous year too, is indeed high but not shocking. It is comparable to most countries. The main reason for the loss in India is thermal power, where a good 60-65 per cent of energy contained in coal is lost during conversion into electricity.

Energy lost is money lost. There is, however, considerable scope for loss reduction.

The first option is to use higher efficiency boiler-turbine systems for thermal power plants. The second is to reduce dependence on coal-based electricity, which is happening. Today, 28 per cent of the electricity that flows in India's grid comes from non-fossil fuels. Indeed, the country would need to build around 80 GW of new coal power plants, but the share of thermal power in the electricity mix can be expected to fall.

All of this will help reduce the gap between the primary energy supply and final energy consumption, but only a little — unless the share of electricity in the total final consumption (TFC) of energy increases substantially. Today it is just 23 per cent. This means 77 per cent of energy is consumed as molecules and not electrons. Increasing the share of renewable energy and nuclear can improve energy security, while dependence on imported molecules leaves the country vulnerable — as the current Strait of Hormuz experience illustrates.

Vinay Pabba, CEO, Vibrant En-



PLUG AND PLAY. Adequate charging infrastructure can hasten the electrification of the transport sector BLOOMBERG

ergy, notes in his LinkedIn post that “until we change that, no amount of solar and other RE capacity will buy us security”.

So, the task before energy planners is to first increase the share of electricity in TFC while reducing the share of coal and oil in TPES.

BOOSTING ELECTRICITY

Much of India's industrial energy demand is still met through direct combustion of coal, furnace oil and diesel for process heat.

In 2024-25, industry used 1,72,369 Ktoe of energy directly from coal. A substantial part of it can be used more efficiently if electricity is used instead of coal for applications such as industrial heating. Many electric end-use technologies are significantly more energy-efficient than direct fuel combustion. Take heat pumps, for

example. A coal boiler may convert 100 units of energy in coal into roughly 80 units of useful heat. But if the same coal is first converted into electricity to run a heat pump, the system can deliver even more useful heat because heat pumps move ambient heat rather than generate all heat directly. Burning coal that holds, say, 100 kWhr of energy can produce 80 kWhr of heat energy (conversion into heat energy is more efficient than conversion into electricity); comparatively, the same coal when converted into electricity to run a heat pump can give 120 kWhr of heat, because of the high coefficient of performance (CoP) of heat pumps.

Experts, therefore, argue that policy must focus explicitly on industrial electrification. This would initially shift energy demand toward the power sector but, over

time, allows cleaner generation sources to decarbonise a much larger share of the economy.

Pabba suggests mandating electric boilers for low-temperature (below 150 degrees C) industrial heating applications — a segment that accounts for a significant share of industrial heat demand. He also calls for phased replacement schedules for diesel and fuel-oil boilers, restrictions on new coal-fired industrial boilers in metros, and a redesign of India's 'Perform, Achieve and Trade' (PAT) scheme to push industries toward fuel switching rather than merely incremental efficiency gains.

The transport sector offers another pathway to electrification — one that is perhaps easier than industry. Oil products account for 49 per cent of TCS (2,42,386 Ktoe out of 6,08,578 Ktoe). If the charging in-

frastructure can be quickly built, then a substantial share of vehicles can move from oil to electricity. Here, Pabba argues that direct bans and mandates catalyse the process faster than India's current approach of subsidies.

THE HURDLES

Raising electricity in the overall energy mix will face political headwinds. Increasing the share of electricity necessarily means keeping its cost low. But in a country where industry is asked to pay for free or low-cost supply to underprivileged communities, lowering industrial tariffs is politically fraught.

The draft New Electricity Policy 2026, developed by the Ministry of Power in January, speaks against “relentless cross-subsidy”. Therein lies some hope for the electrification of energy.

COST OF SECURITY

India's nuclear power ambitions face a tariff test

M Ramesh

The passage of the SHANTI Act, 2025, allowing the private sector to set up and run nuclear power plants in India has created a buzz. But few seem to have looked at nuclear energy's soft underbelly — the cost.

India's existing nuclear power plants produce electricity competitively — at ₹2.72-3.87 a kWhr. But these plants were built decades ago.

What will be the cost of new nuclear power plants? A peek into this was provided by experts at a recent workshop on the SHANTI Act, organised by the Central Electricity Authority. A pressurised heavy water reactor (PHWR) — the Nuclear Power Corporation of India is building 10 of these at 700 MW capacity each — will cost ₹21 crore a MW.

Using the existing pricing formula — 15.5 per cent return on equity, 2.33 per cent annual depreciation, and so on — the tariff works out to be ₹7.77 a kWhr.

In the case of a pressurised water reactor (as opposed to heavy wa-

ter), the tariff rises to ₹7.78 a kWhr.

Who will buy this at a time when renewable energy supplied continuously through battery or pumped storage is available at around ₹4 and expected to get cheaper over the years?

The workshop deliberated on this point. It has been said that the cost of nuclear power can be reduced by 20 paise by lowering the GST from 18 per cent to 5 per cent, and by 30 paise if the tax is eliminated, thereby lowering return expectations — 10 paise for 1 percentage point lower ROI, and 15 paise if the normative interest rate drops by 1 percentage point.

The interest rate has one more complexity. The normative rates are calculated on the basis of a 30-year loan. The absence of a 30-year loan product came up at the workshop, and the solution suggested was rollover or refinancing of loans for a 30-year period. However, this could expose projects to uncertainty over future interest rates and reduction in financing costs. Further reduction in tariffs is possible by operating the plant above the normative PLF of 72.5 per cent.

However, despite the potential



EARLY MOVER. India's legacy nuclear power is competitively priced BLOOMBERG

for tariff reduction, nuclear energy is still expensive. Moreover, the indicative tariffs are valid for the present. Projects set up later would entail a 10 paise rise in tariffs each year, due to the normative increase in O&M costs. A nuclear power project takes 13 years to build.

COST IN PRIVATE

Now, another question is how costly will be the nuclear power plants set up by the private sector?

Till date, the private sector has not gone beyond expressing an interest in nuclear energy — perhaps because the rules are yet to be framed. But when they do embark on a project, they are likely to face the biggest challenge of all: the market.

Furthermore, future nuclear power projects will have to be run on imported uranium — 50 GW nuclear power plants will need about 6,000 tonnes of uranium a year. The Nuclear Fuel Complex in

India, even after the proposed expansion, can supply 2,900 tonnes — which will go to supply the upcoming plants of NPCIL. The cost of imported uranium will be impacted by global supply, geopolitics and the attendant factor of exchange rate.

Under the Electricity Act, tariffs are fixed in two ways — cost-plus basis under Section 62; and competitive bidding under Section 63.

Tariffs of nuclear power plants are not governed by the Electricity Act — they are fixed by the Department of Atomic Energy in consultation with the Central Electricity Authority, again on cost-plus basis. The tariffs of the private sector projects set up under the SHANTI Act will be fixed in this manner.

It is hard to see these as competitive against firm renewable energy.

The picture blurs when we move from large projects to small modular reactors (SMRs), because nobody knows how the costs will pan out.

So, will the SHANTI Act engender a fleet of nuclear power plants that can raise India's nuclear energy capacity from 8 GW to 100 GW by 2047?

Fingers crossed.

How protected are power plants from the risk of flooding?

Study maps the potential catastrophic consequences for the country's electricity infrastructure in the absence of safeguards against inundation

K Bharat Kumar

In recent days, power plants across India are working overtime to meet peak power demand almost daily — an obvious consequence of much of India currently feeling like the inside of an oven. The likely impact of climate change is on top of mind too. But have you ever wondered how the functioning of power plants may be impacted by climate change?

A paper titled ‘Differentiated impacts of climate physical risks on the Indian power sector’, published recently in the *iScience* journal, looks at how climate-induced flooding can lead to catastrophic consequences for the country's electricity infrastructure. And how protection against such flooding can vastly lower the risk of shutdowns.

India ranks 13th globally for flood exposure, with 80 per cent of its districts vulnerable to cli-

mate disasters. The usual models miss risks that have low probability but can be disastrous if, and when they occur. These worst-case risks are called ‘tail risks’ (such as an extreme flood that occurs once in 100 years). The study analysed 424 power plants, which account for more than 90 per cent of India's power capacity across coal, gas, nuclear, oil, and bioenergy fuel sources.

Most researchers traditionally watch transition risks (for example, the cost of moving from fossil fuels to green energy). However, because global clean energy transition is delayed, physical climate risks are gathering momentum.

The authors simulated severe floods over a 25-year horizon under a high-emissions climate future and found that no protection against floods would mean that the average power sector losses exceed 19 per cent of asset value, while worst-case tail risks wipe out more than 24 per cent.



ON EDGE. Sited near a waterbody for cooling, coal power plants face high exposure to flooding RAJESH N

On the other hand, building protection with a 100-year flood in mind helped cut average losses to below 1 per cent and tail risks below 2 per cent.

LOCATION MATTERS

It's interesting that even when a power plant manages to avoid a

shutdown during a flood, its utilisation rate drops significantly — stored coal getting wet or fuel in transit not reaching on time are ‘dampening’ factors in the efficient running of the plant. The Bongaigaon power plant, located in a flood-prone area, survives unaffected because of its local to-

pography and water flow lines.

There are regional differences too. Coastal and heavy river basin states face the worst-case risks. Kerala is the most exposed, facing estimated losses at about 58 per cent. Arunachal Pradesh (55 per cent), Nagaland (55 per cent), Puducherry (49 per cent), and Himachal Pradesh (48 per cent) bring up the subsequent slots. And where melting glaciers drive risk, states such as Gujarat (45 per cent), Odisha (41 per cent), Karnataka (40 per cent), and Andhra Pradesh (35 per cent) are vulnerable.

Regions that are dry or located further inland, such as Rajasthan, Delhi, and Haryana, are tallied with the lowest tail risks, staying under 17 per cent.

The differences in risk stack up not only in terms of region but also the choice of fuel source for power generation. Sited near water for cooling, coal and gas power plants face high exposure, but 100-year flood walls elimin-

ate 97 per cent of the risk. Nuclear-fuelled power plants are typically located in highly exposed coastal cooling zones, and hence these are vulnerable to extreme situations. However, such plants are normally built to stringent standards that help bring down the remaining risk to near zero. Bioenergy- and oil-based plants retain risk of 4.16 per cent even with flood walls. They are heavily concentrated in districts with low flood protection, which means they would need strategies such as placing critical machinery at a certain height.

INSURANCE COVER

To check for preparedness, the authors used data on losses from historical floods and found that India's current defences were highly unequal. Existing medium to high protection is concentrated in historically hard-hit eastern coastal states, the North-East, and central India. So, major plants are naturally situated in

moderately protected districts. Northern districts show dangerously low infrastructure protection.

The authors also evaluated insurance protection but cite it as being complementary and not a substitute for core protection. Without flood walls, buying full insurance only pushes down tail risk from about 24 per cent to 22 per cent, while failing to prevent physical damage or operational freezes. But with physical walls that could block minor floods and prevent damage, power plants would benefit from lower insurance costs, with tail risk plummeting to 1.2 per cent.

It's interesting that simple protection of the grid does not require huge funding. The authors advocate that even planning for 25-year flood defences helps move the risk-reduction curve from zero to modest and the worst-case industry risk collapses from 24 per cent to about 4.8 per cent.

● BOARDROOM BATTLE

Fiduciary feud vs Tata legacy

As trustees and proxies shake the foundations of the Tata empire, what’s the way out?

Janaki Krishnan

“Tatas need a leader with guts, intelligence and grit!” This cry from a person close to the storied corporate group comes at a time when internal differences at the highest level are shaking its foundations. The ongoing tensions among the Tata trustees, which is threatening to spill over into the holding company Tata Sons, stems from the lack of a formal succession planning process at the group, its stability being threatened by people who have a fiduciary responsibility towards it.

“Tata’s succession history has been non-linear, often within the Tata fold but not strictly hereditary. That flexibility was once a strength. Today, it must be converted into a formal succession architecture,” says a well-known corporate governance exponent who sits on the board of several companies, declining to be named. “The Tata group’s present challenge is not merely a personality issue. It is the transition from charismatic stewardship to institutional stewardship,” he adds.

However, according to another person, who has had direct dealings with the group for a long time, the group risks diluting its legacy if it becomes overly process driven or focused on shareholder pressures through moves such as a potential listing of Tata Sons. “Tata cannot be run by process. It is run by moral authority. The moment you try to take away the moral authority, it’s over.”

PERSONALITY DOMINATED

Like most family-run enterprises in India, the Tata group had for long functioned and flourished under a system in which moral authority combined with formal authority held undisputable sway. While board structures, trusteeship arrangements and institutional processes existed, they were held together by the stature and credibility of individuals — JRD Tata for a significant part of the 20th century and, later, Ratan Naval Tata, who took over in 1991.

Both headed Tata Sons for long periods, and expanded the group through strategic acquisition, while venturing into new areas. “JRD Tata and Ratan Tata carried unusual moral authority,” says an insider. “Their presence converted disagreement into alignment.”

The person quoted above says resistance to leadership transitions are not new within the group and RNT eventually earned legitimacy through moral authority and personal stature, rather than operational intervention.

After RNT’s death the centripetal force is visibly weaker and the group has to rely more on written protocols, trustee discipline, conflict resolution processes and transparent communication.

Noel Tata, who married into the Shapoorji Pallonji family and has been associated with the Tata group for over four decades, was overlooked by RNT twice when the chairmanship for Tata Sons opened up — in 2012 and 2016. After a year of searching post the removal of Cyrus Mistry from the chairmanship, the decision went in favour of N Chandrasekaran, a Tata veteran with 30 years in Tata Consultancy Services, including eight as MD and CEO.

In fact, prior to Mistry’s appointment, Noel had been interviewed for the position and, in Tata’s own words, found lacking in experience.

POST RATAN TATA

Noel Tata may have “formal authority, but he is still being tested for convening authority”, says an insider. “He may yet build that legitimacy, but it cannot be presumed merely from title or lineage,”



DEEP-ROOTED TIES. Ratan Tata continued to lead Tata Trusts after stepping down from the chairmanship of Tata Sons at 75 VIVEK BENDRE

he adds. He also points out that Noel Tata hasn’t been given the time to prove his chops.

But time is running out. Noel will be 70 this November and would have to step down as chairman from various boards.

While he possesses deep operational experience and unquestioned family legitimacy, the challenge before him is not managerial but institutional. Can he command the same broad-based authority that previously helped contain disagreements within the group’s internal structures.

A person who knows Noel Tata well describes him as a ‘fine human being and purpose-driven’ but personally reserved and lacking the visibility that RNT cultivated over time.

But Noel’s elevation as Chairman of Tata Trusts in October 2024 was not without drama. Some trustees were not in favour and former trustee Mehli Mistry had to compel them to vote for Noel on the grounds that the Trusts should be headed by a Tata. However, relations soured subsequently.

The first to show open rebellion was Mehli Mistry himself, who was then voted out of the Trusts. With the decision to retain Chandrasekaran as Tata Sons chairman for a third term, it looked like peace may reign in the group.

That hope, however, was short-lived. The year 2026 started on a tumultuous note for the Tata group. At a Tata Trusts meeting in February to consider Chandra’s reappointment, Noel Tata questioned the group’s performance, especially with regard to new investments, the revival of Air India and acquisitions such as BigBasket.

It seemed like a repeat of what RNT did with Cyrus Mistry, except no one was sacked and Chandra has been given time to prepare a growth strategy for the group. Noel was also blindsided by his two allies Venu Srinivasan and Vijay Singh, who have openly come out in favour of listing Tata Sons. This is interesting because unanimous resolutions have been passed by trustees as well as the Tata Sons board to keep the holding company unlisted.

Is this self-interest at work or genuine concern over corporate governance?

Noel retaliated. He voted against the reappointment of Srinivasan and Singh

to the board of Tata Education and Development Trust, an allied body of the Sir Ratan Tata Trust. He is also expected to get Srinivasan off the Tata Sons board, where the latter is a nominee of Tata Trusts.

The Tata group has also been fighting a rear-guard action against complaints filed with the Maharashtra Charity Commissioner that the board of Sir Ratan Tata Trust was not in compliance with the Maharashtra Public Trusts Act, which prescribes that not more than one-fourth the number of trustees in a public trust shall be perpetual or life trustees.

Another legal notice alleges that a transfer of Tata Sons shares from the Navajbai Ratan Tata Trust to Naval H Tata in 1989 was unlawful, void, and a breach of fiduciary duty by trustees. Those shares are now in the possession of Noel and Jimmy Tata (the son of Naval Tata).

Corporate governance experts are also pointing to the dual role of Tata Trusts — it is a philanthropic institution, yet holds about 66 per cent of Tata Sons, whose dividends support the Trusts’ social work in education, health, livelihood, arts and culture. “When trustees appear divided over control, succession, listing or influence, the public inevitably asks whether charitable purpose is being overshadowed by promoter power,” says another expert.

The board meeting of Tata Sons on May 26 is expected to discuss the contentious issue of its listing as well as Chandra’s plan for the group. He and Noel are expected to meet before that. The conflict over the leadership of the Trusts remains unresolved, however.

“The remedy is not another towering individual but a governance compact: clear trustee role definitions, a formal conflict-resolution mechanism, codified succession planning, transparent criteria for trustee appointments, a public position paper on Tata Sons listing, and a disciplined communication protocol,” observes a corporate governance expert.

A Tata loyalist sums it up, saying, “The Tata name is what differentiates them (the group). The DNA has been brought into that name — the philosophy of giving, of being charitable... If you remove the Tata name from this, it will become like any other company.”

● NAVIGATING HEADWINDS



Air India: Flying from turbulence to turnaround

WINGMEN. Despite record losses and operational pressures, Air India enjoys the support of Tata Sons and Singapore Airlines for a long-term transformation strategy

BLOOMBERG

Rohit Vaid

Tata Group-led Air India is facing its most difficult phase since privatisation, with losses crossing ₹26,000 crore in FY2025-26 amid geopolitical disruptions, elevated fuel costs, safety scrutiny, and leadership uncertainty. And yet, this cloud of troubles has a silver lining — the airline retains the strong backing of shareholders Tata Sons and Singapore Airlines as it pushes ahead with its multi-year transformation programme.

The scale of Air India’s financial strain became visible when minority stakeholder (25.1 per cent) Singapore Airlines group disclosed in its annual report that the Indian airline had posted a loss of \$83.56 billion during FY2025-26, and this was a primary reason for the Singapore airline’s 57 per cent slide in annual net profit to \$81.184 billion.

CRITICAL SUPPORT

Importantly, despite the losses and operational pressures at Air India, Singapore Airlines did not write down its investment. Instead, it described Air India as a “core component” of its long-term multi-hub strategy and committed to support the Indian airline’s transformation.

Industry observers said the willingness of both shareholders to support the airline financially is critical at a time when Air India is dealing with simultaneous operational, financial and regulatory pressures.

“India’s aviation market needs patient, well-capitalised and operationally experienced long-term players to build a truly mature and globally competitive ecosystem,” Jagannarayan Padmanabhan, Senior Director and Global Head, Consulting, Crisil Intelligence, told *businessline*.

The enduring support from Tata Sons and Singapore Airline is important not just for Air India’s turnaround but also the long-term resilience of Indian aviation, he said.

The airline’s troubles intensified during FY2025-26 after multiple external disruptions hit operations simultaneously and sharply increased costs across its international network.

AIR POCKETS GALORE

A core challenge was the closure of Pakistan’s airspace to Indian carriers from April 24, 2025, forcing Air India’s connections to Europe and North America to fly longer routes via the Arabian Sea and Gulf hubs. Several flights became two to three hours longer.

Industry estimates pegged the additional annual cost burden at \$600-750 million.

The extended flight durations have also affected aircraft rotations, crew deployment and network scheduling in

parts of Air India’s long-haul operations.

At the same time, supply disruptions in West Asia throughout FY26 had pushed aviation turbine fuel (ATF) prices higher. However, the ongoing Gulf crisis has pushed prices sharply higher.

At present, fuel accounts for nearly 40 per cent of international operating costs, placing additional pressure on long-haul profitability at a time when Air India is already dealing with elevated fleet and maintenance expenses.

Kinjal Shah, SVP and Co-Group Head, Corporate Sector Ratings, ICRA, points out that the sharp hardening of ATF prices has been compounded by the rupee’s depreciation against the dollar.

“While policy interventions such as tax rationalisation on ATF and continued liquidity support can provide incremental relief, they are unlikely to fully address the high cost base and competitive intensity inherent in the Indian aviation market,” Shah added.

Compounding the airline’s woes was the devastating June 2025 crash of Flight AI171 operating between Ahmedabad and London Gatwick.

The massive human tragedy triggered intensified oversight from regulators, fleet inspections and scrutiny of operational processes.

CHANGING COURSE

Against this backdrop, Air India has initiated corrective measures aimed at preserving liquidity, stabilising operations and improving cost discipline.

The airline temporarily suspended six international routes, including Delhi-Chicago, Delhi-Shanghai, and Mumbai-New York (JFK). It also reduced frequencies across North American, European, Australian, and Southeast Asian services between June and August 2026.

Phased fuel surcharge increases were introduced on domestic and international routes. According to sources, the airline is also evaluating rationalisation of more routes, improved aircraft utilisation and more efficient re-deployment of capacity.

Cost cuts are in focus to contain losses. CEO and Managing Director Campbell Wilson had asked employees to maintain a “relentless focus on costs” during a recent town hall meeting.

This includes reducing discretionary spending, review of vendor contracts, and deferring non-essential expenditure. Annual salary increments have been deferred by at least one quarter. The airline, however, clarified that it does not anticipate layoffs, and variable pay and planned promotions will continue.

Industry observers point out that Air India’s immediate challenge is no longer limited to managing temporary disruptions but also ensuring that operational restructuring keeps pace with

the scale of its long-term expansion plans.

One of the key focus areas remains safety oversight.

Additionally, the airline would need to move beyond compliance-driven inspections to establish stronger monitoring systems across engineering, maintenance, and flight operations, the observers said.

Fleet modernisation will become increasingly important over the next few years. Air India’s order for nearly 470 aircraft — one of the globally — is expected to be delivered from 2027 onwards.

The airline expects the newer aircraft to improve fuel efficiency, reduce maintenance cost and support network restructuring.

But analysts note that the benefits are dependent on Air India’s ability to improve aircraft availability, manage supply-chain constraints and accelerate the retrofit of existing widebody aircraft.

Leadership continuity is another area of focus for the airline and its shareholders.

According to sources, former Vistara Chief Executive Officer and current Senior Vice President of Singapore Airlines Vinod Kannan, and Air India Chief Commercial Officer Nipun Aggarwal are in the reckoning for the top job, with Wilson conveying his intention to step down.

TRANSFORMATION JOURNEY

According to industry observers, the incoming leadership will inherit an airline that has already undergone substantial integration and restructuring but continues to face execution challenges across operations, customer experience, safety oversight, and profitability.

Even amid the financial and operational pressures, some operating indicators have shown gradual improvement over the past year. For instance, domestic on-time performance improved to 76 per cent in FY2025-26 from 73 per cent a year earlier.

Similarly, the customer net promoter score improved to 30 in March 2026 from minus-19 in 2023.

The airline has also expanded its Southeast Asia feeder network from two destinations to seven and increased coordination with Air India Express by eliminating overlapping routes and improving network integration.

Overall, analysts said, these improvements indicate that parts of Air India’s broader transformation programme are beginning to show operational results despite the difficult external environment.

Nonetheless, industry observers noted that Air India’s recovery trajectory will depend on how consistently shareholder support, operational execution and management stability align over the next few years.

OFFICE BUZZ.

Two different reports highlight how flexible workspaces are the way forward to retain young talent

AI and office space

Strategy consulting firm Redseer’s new report ‘AI and the future of flexible workspaces’ describes how AI adoption is beginning to reshape enterprise workplace strategies in India. It estimates that the knowledge-economy office stock could see an incremental addition of 79 million sq ft between CY2025 and CY2030. A significant share of this demand is expected to flow toward managed and flexible workspace formats. Nearly 82 per cent of the enterprises surveyed plan to increase flex workspace adoption, while AI-led hiring is seen to contribute 31

per cent of flex seat leasing demand by 2030. India’s AI job postings grew 6x since CY2019.

The hybrid era

Flexible working has become the decisive factor in competing for leading tech talent, says new research from the International Workplace Group, which has brands like Regus and Spaces. Nearly 72 per cent of business leaders say hybrid or flexible working is vital to attract tech talent, rising to 79 per cent among millennial and 80 per cent among Gen Z leaders. Hybrid working (37 per cent) is the strategy most used to compete for tech talent, ahead of competitive pay (35 per cent). About 23 per cent of firms are appointing tech professionals under 30 in leadership roles, rising to 45 per cent in Gen Z-led businesses.



How Diageo’s doubled investment is scaling up Sober

Chitra Narayanan

When the Indian arm of a global spirits giant takes a 15 per cent stake in a startup creating a non-alcoholic beverage, and a year and a half later ups the stake to 25 per cent, it makes one take notice. In July 2024, Diageo India (USL) invested in alcohol-free drinks producer V9 beverages, known for its brand Sober, and in January this year it increased the investment.

The alcohol market in India — valued at roughly \$39.7 billion — has seen growing consumption across categories, with a steady overall CAGR of 3-4 per cent, though premium products have grown faster. Diageo has been upping its focus on premiumisation, but why invest in non-alcohol?

Explains Praveen Someshwar, MD and CEO, Diageo India, “As consumer preferences evolve, demand for moderation-led choices and premium zero-proof experiences continues to grow. This

fast-growing category complements our core business, and our increased investment in Sober reflects our confidence in its future potential.”

On a hot summer evening, one meets Vansh Pahuja, the 32-year-old founder of Sober, at his bar Somewhere Nowhere in Delhi’s GK2 market. It’s a concealed bar in true speakeasy style, with a hidden entrance and an amazing vibe. Pahuja is excited as he has just launched a ready-to-drink canned non-alcoholic version of the cocktail Picante. “It’s zero-sugar, zero-calories, zero-alcohol — globally people have done non-alcoholic Picante, but with sugar. This is the first without sugar,” he says. But he is quick to add that it is not promoted as healthy. “Rather I would call it ‘mindful,’” he says.

Is there a big enough market for non-alcoholic spirits? Pahuja says there are many who enjoy a tipple, but cannot drink for medical reasons — he cites his father and a pregnant friend.

Pahuja grew up in Delhi, went



NEW ‘LOW’. No-alcohol, no-sugar Picante; Sober founder Vansh Pahuja



to Boston for higher studies (a course in marketing innovation at Northeastern University) and found a job in GE but returned when his maternal grandfather died. “My mom called me back,” he says, adding, “I also wanted to start restaurants and bars here.”

He started a pizza chain called Baked, which was modelled on the Subway concept — customers could build their own pizza, health-conscious ones choosing whole wheat or cauliflower crust

with toppings of their choice.

This was in 2019, and soon Covid and lockdown happened, and the outlets had to be closed. Around this time, he was introduced to Aditya Aggarwal, founder of craft gin brand Sam-sara Gin, who mentioned how excise duties vary from State to State, alongside various other policy hurdles. That’s when Pahuja jokingly floated the idea of a non-alcoholic product. But upon reflection, he realised it had a

market. Aggarwal came in as a 10 per cent shareholder and manufacturing partner, says Pahuja. They started with 600 bottles of zero-alcohol gin to test the market and sold out within a month.

Currently, Sober has a range that includes non-alcoholic whiskey, gin, pink gin, rum, red wine and white wine, apart from sodas and tonic water. Contrary to perception, Pahuja says it is not Gen Z but an older set that is consuming non-alcoholic drinks. “We sell to people who enjoy their drink, but drink in moderation,” he says.

With the Diageo investment, Pahuja has his scale-up plans ready. “We want to be a household name for everything non-alcoholic. So we want to grab you at a ₹60 price point with our sparkling water. If you want to pour sparkling water into a glass and add lime to it, we have that. We upgrade you a little bit when you say you like gin and tonic... and so on.” Sober is available in the top 100 bars in the country, says Pahuja. High on growth, Sober is ready to pour, changing how India drinks.

DATA BANK.

West Asia crisis: Credit guarantee scheme eases near-term pressure

While the Emergency Credit Line Guarantee Scheme (ECLGS) 5.0 is sufficient for nearly 50 per cent of the companies impacted by the West Asia conflict, most others retain adequate headroom — through drawing power and acceptable stressed coverage — to raise incremental working capital, according to an assessment by India Ratings and Research (Ind-Ra).

Overall, the near-term pressure is manageable, though outcomes remain sensitive to the persistence of cost pressures and the extent of margin compression.

ECLGS 5.0 provides 100 per cent credit guarantee coverage for MSMEs and 90 per cent for non-MSMEs as well as the airline sector, through the National Credit Guarantee Trustee Company Ltd, to its member lending institutions (including scheduled commercial banks, scheduled urban co-operative banks, non-banking financial companies, and State financial corporations) to provide additional credit support to eligible borrowers in view of the West Asia situation.

The scheme targets an additional credit flow of ₹2.55 lakh crore (including ₹5,000 crore for airlines) to eligible borrowers to tide over short-term liquidity mismatches in view of the West Asia crisis.

Ind-Ra, in a report, noted that ECLGS 5.0 provides a timely liquidity backstop for sectors impacted by commodity shocks and geopolitical disruptions.

About 56 companies (8 per cent of Ind-Ra’s rated portfolio), led by chemicals and petrochemicals (23 per cent) and industrial products (19 per cent), are directly impacted, reflecting a high crude linkage, as per the credit rating agency’s evaluation.

“Cost inflation, supply disruptions, and logistics pressures are key drivers of stress. Impact remains uneven across industries, underscoring sector-specific resilience gaps and differentiated recovery paths,” it said.

The agency expects ECLGS 5.0 to significantly address the incremental working capital needs arising from a 10-30 per cent rise in requirement and 5 per cent EBITDA (earnings before interest, taxes, depreciation, and amortisation) compression. However, about 50 per cent of the affected companies may still require additional funding beyond the scheme.

“Encouragingly, nearly 97 per cent of these issuers retain sufficient drawing power, limiting reliance on external equity support. The scheme therefore acts as a bridge rather than a complete solution,” the rating agency said.

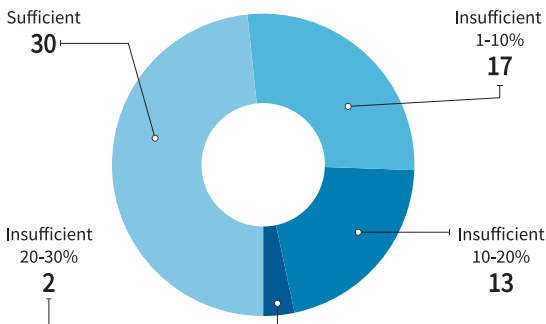
Lender flexibility

Ind-Ra underscored that despite incremental debt, most companies exhibit a stressed interest coverage ratio above 1x, supporting continued lender confidence.

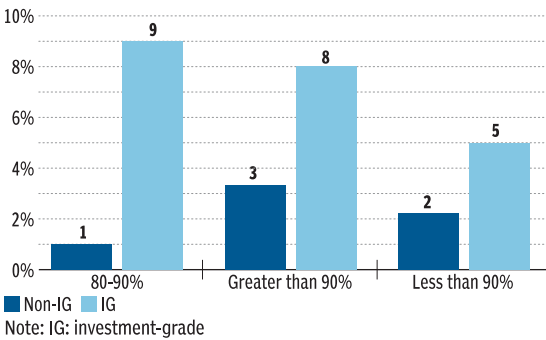
Even where ECLGS is insufficient, additional limits are likely to be sanctioned, given manageable leverage and credit profiles. This lender flexibility will remain a critical monitorable for liquidity sustainability.

The agency observed that certain sectors (for example, NBFCs, power, telecom, and IT) remain outside the scheme’s ambit, limiting its reach. However, coverage across 14 industries and both MSME and non-MSME segments ensures meaningful system-wide support. The targeted design still addresses the most vulnerable, commodity-sensitive sectors.

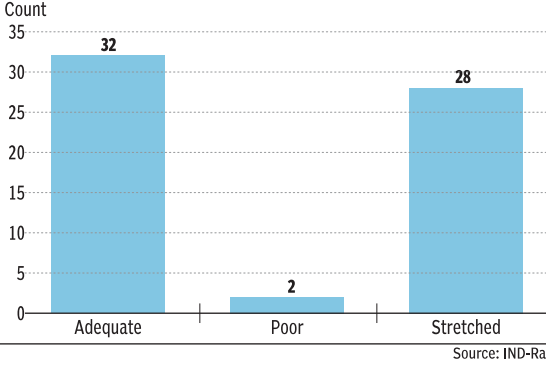
Bridging the liquidity gap



Fund-based utilisation analysis of impacted companies by rating category (IG/Non-IG)



Profile of liquidity parameter



GRANULAR LENDING

Scientific branching, precise growth

PROFIT SITES. Bank of Maharashtra chief plots an outreach at pin code level to cross the ₹10-lakh-crore mark by 2029

K Ram Kumar

Bank of Maharashtra (BoM) will focus on institutional deposit mobilisation, branch-led growth and calibrated asset expansion to maintain a healthy balance between credit and deposit growth in FY27. In an interaction with businessline, MD and CEO Nidhu Saxena observed that, given the current pace of growth, BoM is likely to cross the ₹10-lakh-crore mark in total business by March 2029.

He stated that while global and domestic macroeconomic developments may pose challenges, BoM has adequate buffers, strong provision coverage and robust monitoring mechanisms in place. Edited excerpts:

BoM had a good run in FY26 in terms of deposit and credit growth (14 per cent and 22 per cent, respectively). Can you sustain this momentum in FY27, given that the economy will face headwinds from the West Asia war and the El Nino phenomenon?

Our FY26 performance is part of a consistent growth trajectory over the years. Both advances and deposits have grown steadily in double digits, driven by balanced credit growth and strong liability mobilisation.

A key enabler is our scientific branch expansion under Project 321. We plan to open 321 branches in Phase-1, of which 183 are already operational and generating business. These locations are selected using granular, pin code-level analytics, ensuring profitability and quality sourcing from day one.

In view of the global headwinds such as geopolitical tensions and climate-related risks, we have taken a prudent approach, including creating a ₹200 crore buffer for geopolitical uncertainties, and currently see no material impact.

Supported by focused branch-led sourcing, disciplined risk management and strong deposit traction, we have guided for an 18 per cent growth in advances and 14-15 per cent growth in deposits, with continued emphasis on quality and profitability, in



EYE ON GOAL. Nidhu Saxena, MD and CEO, Bank of Maharashtra

FY27. Our advances and deposits were up by 21.74 per cent and 14.14 per cent, respectively, in FY26

Credit growth is expected to be broad-based, led primarily by RAM — retail, agriculture and MSME (micro, small and medium enterprises) — segments while maintaining a disciplined approach in corporate lending. Corporate credit growth will remain measured and opportunity-driven, with a focus on sectors such as renewables, infrastructure and data centres, where long-term visibility and government support are strong.

BoM ended FY26 with a gap of 760 basis points between credit and deposit growth. Will this gap narrow in FY27?

In FY26, credit growth outpaced deposit growth due to strong lending traction. However, we expect this gap to moderate in FY27, in line with our guidance of 18 per cent advances growth and 14-15 per cent deposit growth.

Deposit momentum will be supported by several structural initiatives. Our GIFT City IBU (international banking unit) commenced operations during FY26 with an asset-led focus.

In FY27, we expect deposits to start flowing into the IBU, aiding liability growth.

Our bank has availed alternate sources of funds like refin-

ance to support credit growth. Overall, the cost of refinancing on a blended basis is lower than bulk deposit.

Further, we have set up a ‘new business and customer acquisition’ vertical, headed by a general manager, with a focused mandate on institutional clients, and strengthening bulk and operating account deposits.

Additionally, under Project 321, 183 new branches are contributing to CASA and retail deposits through data-driven location selection.

Overall, with focused institutional deposit mobilisation, branch-led growth and calibrated asset expansion, we are confident of maintaining a healthy balance between credit and deposit growth in FY27.

At the current rate of growth, when do you expect to cross the ₹10-lakh-crore milestone in total business (deposits plus advances)?

In FY2026, our total business grew by ₹95,552 crore (₹72,568 crore in FY25 and ₹65,208 crore in FY24). We are planning to open 1,000 branches in the next five years. Considering the current pace of growth, we are likely to cross the ₹10-lakh-crore total business mark by March 2029.

How big is your corporate loans pipeline? And where

is the demand for loans emanating from?

Our bank continues to witness healthy traction in the corporate loan pipeline, supported by sustained demand across select sectors. We have a healthy corporate pipeline of approximately ₹34,500 crore, providing forward visibility for credit growth.

Demand for corporate loans is emanating primarily from infrastructure-linked sectors, including renewable and clean energy, green projects, data centres and select infrastructure projects, where policy support and long-term growth prospects remain favourable.

The bank has been selectively expanding its corporate book in these areas while maintaining prudent underwriting standards and asset quality discipline.

Our GIFT City IBU became operational with effect from September 2025. This is our first overseas branch. The IBU’s lending book mainly comprises ECB (external commercial borrowings) and FCTL (foreign currency term loan) given to corporates.

As at March 31, 2026, the IBU’s exposure stood at around \$750 million and is expected to scale up to around \$1 billion during FY27. Notably, the IBU achieved breakeven in its first year of operation.

Overall, corporate credit growth is being pursued in a measured and opportunity-driven manner, aligned with our broader strategy of balanced growth and portfolio diversification.

What is your outlook for asset quality in FY27?

The bank’s asset quality metrics have shown consistent improvement over the years, reflecting disciplined underwriting, portfolio rebalancing and focused recovery efforts. As of March 2026, gross NPAs (non-performing assets) declined to 1.45 per cent and net NPA to 0.13 per cent, which are among the better levels within the banking system.

For FY27, our outlook on asset quality remains stable and cautiously optimistic.

Credit growth will continue to be pursued in a measured manner, with emphasis on risk-adjusted returns and portfolio diversification. We have strengthened underwriting standards, particularly in the

retail, MSME and agriculture segments, and continue to closely monitor early-warning indicators across portfolios.

At this stage, we don’t see any material stress in any specific segment. While global and domestic macroeconomic developments may pose challenges, we have adequate buffers, strong provision coverage and robust monitoring mechanisms in place. Overall, asset quality is expected to remain within guided levels, with a continued focus on the containment of slippages and recovery from stressed assets.

How much incremental provisioning may be required due to the transition to the ‘expected credit loss’ (ECL) framework?

We have estimated an incremental provisioning impact of ₹2,500-3,000 crore, on account of the transition to the ECL framework.

As per the regulatory transition arrangement, the impact arising due to the transition will be adjusted against opening retained earnings. Further, a phased recognition mechanism is available, whereby the impact on regulatory capital can be amortised over a transition period extending up to March 31, 2031.

Accordingly, we do not envisage any immediate requirement for raising additional capital solely on account of ECL implementation.

Given the Emergency Credit Line Guarantee Scheme (ECLGS) announced by the government, how much incremental credit demand do you expect from MSMEs?

The ECLGS 5.0 has been launched by the government to extend additional credit facility to business enterprises (MSME and non-MSME) to tide over short-term liquidity mismatches in view of the West Asia crisis. This timely intervention will ensure liquidity support, protect jobs, sustain supply chains, and strengthen the resilience of the Indian economy. It will further boost demand and augment growth in the MSME sector.

Overall, we are expecting 18-20 per cent growth in credit demand from MSMEs, with the ECLGS support.

Rate setting in a time of uncommon shock

As the monetary policy committee readies for its next meet, the RBI faces the unenviable task of stabilising the currency



SAKSHI GUPTA

The upcoming monetary policy meeting is timed at an unusually fraught juncture. The Reserve Bank of India faces a confluence of pressures that rarely materialise simultaneously: the rupee has touched successive record lows, bond yields have surged, growth headwinds are building, inflationary risks loom on the horizon, and the transmission of last year’s rate cuts is progressively compressing.

Markets are now pricing in not one, not two but four rate hikes over the next 12 months.

The policy committee, in short, faces “everything everywhere all at once”.

In such an environment, the RBI’s most urgent task is unambiguous: stabilise the currency.

NO TO PASSIVITY

The argument that the RBI should simply “let the rupee weaken” fundamentally misreads the current shock. India is facing an imported inflation episode driven by elevated energy prices, and in such circumstances a depreciating currency does not serve as an adjustment mechanism — it functions as an amplifier, compounding cost pressures for producers and consumers alike. Worse, a currency in prolonged free-fall can corrode investor confidence, accelerate capital outflows, and beget further weakness in a self-reinforcing loop. Exporters delay hedging in antici-

pation of further depreciation; importers rush to cover at every level.

The resulting demand-supply imbalance in the dollar market can drive the exchange rate well beyond what fundamentals justify — and once overshooting takes hold, the cost of correction rises sharply.

PRESSURE POINTS

Breaking this currency loop requires a diagnosis of why the rupee is weakening? The pressure is from two directions simultaneously. On the current account, elevated energy prices are likely to push India’s goods and services trade deficit into the range of \$70-80 billion this year. The capital account flows, under a more optimistic assumption — namely geopolitical tensions de-escalate in a timely fashion — are unlikely to top \$30-40 billion.

These estimates carry material uncertainty and outcomes can prove worse under a more adverse scenario. The resulting \$40-billion financing gap is not trivial and needs to be addressed even if the precise magnitude remains uncertain.

Critically, waiting for geopolitical tensions to resolve will not by itself close this gap.

The RBI’s 2013 taper tantrum experience offers a useful template. A concessional FCNR(B) deposit scheme, structured with an FX swap rate at or below 1 per cent, could attract meaningful non-resident inflows.

Sovereign dollar bonds and further relaxation of external commercial borrowing limits deserve consideration alongside. The precise timing of these instruments matters,



FUELLING CRISIS. Energy price rise is driving imported inflation

given the sharp rise in global yields; the RBI would want to deploy them when conditions maximise uptake. That said, the mere signal that the central bank possesses a credible, well-stocked toolkit — and the resolve to use it — can exert a stabilising effect on the exchange rate well before any measure is formally activated.

Capital controls, by contrast, should be firmly set aside. These measures may offer superficial near-term relief, but they distort market functioning and directly contradict the RBI’s own efforts around regulatory predictability.

The third option — deploying interest rate hikes as a currency defence — deserves a more nuanced treatment.

On the narrow question of attracting capital flows, a modest rate increase is unlikely to meaningfully shift the calculus for foreign investors in Indian debt, particularly at a moment when US Treasury yields have surged to multi-year highs and the global search for yield is being fundamentally repriced.

The carry differential alone will not do the trick.

The more substantive argument for a rate hike, however, is the signalling one: to demonstrate inflation-fighting resolve, anchor expectations, and reduce the risk premium embedded in the rupee even if the carry arithmetic is un compelling. The difficulty is that deploying rate hikes as a signalling instrument is only credible when the underlying inflation dynamics justify them — and at present, they do not.

The RBI’s own adverse scenario estimate puts average inflation at around 5 per cent this year, a full percentage point below the upper bound of its 2-6 per cent tolerance band.

A rate hike in this environment would signal not inflation-fighting credibility but policy confusion and conflating of two objectives that require distinct instruments.

HOUSEHOLD SPENDING

There is a further cost to premature tightening. Raising rates at this juncture risks real

damage to household balance sheets and consumption demand, at precisely the moment when a potentially below-normal monsoon is already clouding the outlook for rural spending. India’s consumption-led recoveries are historically slow to build, highly sensitive to policy conditions and, once disrupted, take years to fully reconstitute. The downstream consequences — weaker corporate revenues, delayed capital expenditure, and compressed tax collections — are neither trivial nor quickly reversible. The signalling benefit of a premature hike does not justify these costs.

The RBI’s optimal course is a three-part sequence: hold rates; signal the rupee toolkit forcefully; and deploy instruments in a calibrated fashion over the coming weeks, as global conditions allow.

Beyond the firefighting, the current episode also raises an uncomfortable question for policymakers — what can structurally make India’s capital account more resilient to external shocks?

One such reform that can be introduced is the reduction in the withholding tax on foreign debt investments. This could signal structural openness that no temporary swap scheme can replicate. A coordinated response from the government and the central bank could be considerably more powerful in the current environment.

It’s not about finding the best tactical fix but rather using this shock to create long-term strength and resilience.

The writer is a Principal Economist at HDFC Bank

QUICKLY.

India can count on me, says President Trump



New Delhi: US President Donald Trump declared on Sunday that the US has never been closer to India. India can count on him 100 per cent in his country. Speaking over phone held by US Ambassador to India Sergio Gorr at a reception in New Delhi celebrating 250 years of America, Trump said he was a big fan of Prime Minister Narendra Modi. External Affairs Minister S Jaishankar and US Secretary of State Marco Rubio were present at the event during the call. “We have never been closer to India. India can count on me 100 per cent in my country. If they have any problem, they know where to call, they call right here,” Trump assured. Trump underlined that his country’s economy was on track. “We are doing well. We are setting records. We have a record economy. A record stock market. Anything India wants to get...,” he said. On Rubio’s ongoing India visit, Trump said he was one of the best and would represent India well. “I am a big big fan of PM Modi. Marco I know you are going to represent India well. Let PM know I am a big fan,” Trump said. **OUR BUREAU**

Overseas travel spending falls to \$1.09 b in March

Mumbai: Overseas travel spending by Indians, including holiday trips, declined by \$212.43 million to \$1.09 billion in March compared to February, according to the RBI data. The outward remittances for travel were at \$1.3 billion in February and \$1.65 billion in January this year. Spending on education-related travel related \$450.16 million in March. **PTI**

Strong heatwave drives up sales of ice cream, beverages and ACs

DEMAND SURGE. Companies across categories said consumption trends have accelerated significantly in May

Meenakshi Verma Ambwani
New Delhi

As a searing heatwave grips large parts of the country, makers of ice creams, air-conditioners and beverages are witnessing a sharp rebound in demand, fuelling hopes of a stronger-than-expected summer season after an initially sluggish start caused by unseasonal rains and relatively cooler temperatures.

Companies across categories said consumption trends have accelerated significantly in May, with quick commerce emerging as a major driver for impulse and immediate consumption purchases.

“We now expect demand growth across key categories to surpass our earlier estimates of 30 per cent for the season,” said Jayatheertha



UPTICK SPREADS. Demand has now picked up in northern, western regions, while southern region trends remain strong

Chary, Managing Director, Mother Dairy.

DOUBLE-DIGIT GROWTH “On quick commerce platforms alone, ice cream volumes have more than doubled over the last 10 days compared to the preceding 10-day period, while fresh dairy products have registered strong double-digit growth during the same period,” he added.

Debabrata Mukherjee, MD, Lotte Ice Creams, said

the company is seeing broad-based growth across both impulse and take-home formats.

“Summer is here in full throttle and demand is on an upsurge. Categories such as cones, sticks and single-serve cups are seeing accelerated off-take, especially driven by quick commerce and immediate consumption occasions,” he said.

For the air-conditioner industry, this summer is crucial after weak sales last year

due to erratic weather conditions. The sector had also taken price hikes in April to partly offset higher raw material costs and rupee depreciation.

NS Satish, CEO of Haier Appliances India, said demand has now strengthened across regions.

“Demand has now picked up even in northern and western regions, while southern region demand trends remain strong. We have seen a growth of about 35 per cent this month so far. The overall industry is also expected to end the season on a positive note compared to last year,” he said.

Sanjay Chitkara, Director & Co-CSMO, LG Electronics India, said the company expects strong growth in air-conditioner sales in the ongoing quarter amid robust demand trends in May.

Beverage makers, too, are reporting a sharp uptick in sales as temperatures climb.

During the Q1 FY26 earnings call, Ravi Jaipuria, Chairman of Varun Beverages, said summer demand trends were turning highly favourable.

POSITIVE TRENDS

“Summer looks to be very good. A month has already passed, and the trends are looking very positive. If the weather continues like this, there is no reason why we should not perform extremely well,” he said. “Dairy is growing at 60-70 per cent, Nimbooz is also doing at a great pace. Tropicana PET is growing at more than 100 per cent. The new mid-priced energy drink we launched at ₹60, ‘Adrenaline Rush’, is performing extremely well,” he added.

Gold offered at ₹450/g discount to consumers after import duty hike

Subramani Ra Mancombu
Chennai



Gold prices in the Indian domestic market are trading at a discount of over ₹450 per gram to the landed prices, including import taxes, after the government more than doubled the customs duty to 15 per cent from 6 per cent on May 13.

The discount is being offered to spur demand, which has been hit after Prime Minister Narendra Modi asked the people not to buy the precious metal for a year.

“Domestic gold prices traded at a steep discount to official prices, widening from an average of \$14/oz the week before the duty hike to nearly \$150/oz (₹462/g),” said Kavita Chacko, Research Head — India, World Gold Council (WGC).

INVENTORY OFF-LOAD

Bullion dealers likely off-loaded the inventory imported at lower import duty, adding to market supply, she said. The government increased the import duty on gold, silver and platinum on May 13 to discourage shipments into the country and control the forex outgo.

“Previous import duty hikes in 2019 and 2022 also resulted in discounts in the domestic market, but this episode has been significantly more pronounced due to the scale of the increase,” she said. During the week-end, gold prices in the Mumbai spot market ended at ₹1,58,534 per 10 g. On MCX, gold June contracts ended at ₹1,58,588. In the global market this week, gold ended over 0.5 per cent lower at \$4,516.75 per troy ounce.

“The duty change has resulted in those who had imported at the lower 6 per cent duty offloading their stocks at a discount,” said CA

Surendra Mehta, media spokesperson of Mumbai-based Indian Bullion and Jewellers Association.

VARIED IMPACT

“Jewellers are passing the benefits to consumers by even cutting making charges to spur demand,” said N Anantha Padmanabhan, Managing Director of Chennai-based NAC Jewellers.

“There is virtually no demand,” said Mehta. “The Prime Minister’s appeal to stop buying gold is impacting sales,” said Padmanabhan.

Chacko said the market feedback and trade interactions suggest a varied impact across segments, with many retailers indicating a likely pause in procurement.

Mid-sized and regional players are continuing to see buying from affluent customers. But they are expecting to rely more on exchange programmes and tighter inventory cycles going forward.

The WGC India research head said smaller retailers appeared the most vulnerable. They were already stretched by high prices and they now faced additional pressure from sales volumes and profit margins.

WGC imports data point to a higher smuggling when the import duty for gold is hiked. “Between 2013 and 2026, increases in import duty were mostly followed by higher levels of unofficial or smuggled gold, while duty reductions coincided with sharp declines in such inflows,” she said.

OMCs seek sops for green aviation fuel, see no rollout delay

Aneesh Phadnis
Mumbai

State oil marketing companies don’t foresee a delay in adoption of sustainable aviation fuel (SAF) on account of ongoing West Asia tensions and have called upon the government to provide fiscal incentives to make it affordable for airlines.

Globally, SAF is priced three-five times more than conventional aviation turbine fuel (ATF). Incentives like viability gap funding or tax rebates could help lower the cost of production and help oil companies to pass on the benefits to airlines.

This would also make it easier for airlines to enter into off-take agreements for SAF, executives of oil market-

ing companies said on Saturday. The government has set an indicative target of blending one per cent SAF in jet fuel used for international flights from January 2027. This would increase to 2 per cent and 5 per cent by 2028 and 2030.

In April, the government expanded the definition of ATF to include SAF. According to Shailesh Dhar, Executive Director and Country Head (Aviation), Indian Oil Corporation, the April notification sets the ball in motion for introducing SAF in India.

FORMULATING PLANS

“This will help companies in formulating plans as considerable investments are required,” he said at a panel discussion organised by



Aeronautical Society of India.

“The government is now in the process of formulating an SAF policy and as a part of that actual mandates will be brought in for airlines and oil companies,” he said.

IOC expects to start producing SAF from its Panipat refinery from September. It has already signed an MoU with Air India and a letter of intent with Akasa Air for SAF off-takes. Discussions are also on with foreign airlines,

he said. Bharat Petroleum Corporation Ltd and Hindustan Petroleum Corporation Ltd too are moving ahead with their SAF initiatives.

BPCL’s Business Head (Aviation) Sanjeev Kumar said the co-processing facility at its Mumbai refinery will be commissioned by year end.

The Mumbai facility will have a capacity of 60 kilotonnes per annum and it would be able to meet the initial 1-2 per cent blending requirements, he added.

ONGOING PROJECT

HPCL expects a certification for its production process by the fourth quarter of 2026.

“We have carried out a demonstration where we have used cooking oil and co-

processed it with normal ATF. The project is ongoing,” said HPCL’s Executive Director (Aviation) Sibi Mathew T.

Airlines in Europe already charge a surcharge to cover the additional cost of SAF that is mandated in the continent from 2025. The Singapore government too will be charging SGD 1-42 SAF levy for all tickets from next January.

Saleem Farooqui, Senior Principal Scientist at CSIR-Indian Institute of Petroleum, said initial blending targets will not translate to high fares.

He estimates fares could rise by ₹100-200 after introduction of SAF mandates. “While the SAF price is high we will be blending only small quantities,” he said.





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